FIEM INDUSTRIES LTD

NSE: FIEMIND | BSE: 532768 | Auto components – two-wheeler lighting and mirrors | Initiation of coverage

Data as of 19 October 2026 close (CMP ₹1,824) | Report date 20 October 2026 | Consolidated figures, ₹ crore, FY ends March, unless stated

ACCUMULATE	₹1,824	₹2,100	+15%
Research opinion (our scale)	CMP, 19 Oct 2026	12M target (our estimate)	Implied upside

Fiem makes the headlights, tail-lamps, indicators and mirrors that go on two-wheelers. About 59% of its automotive sales go to just two customers (TVS and Honda). The business is debt-free, earns a 29% ROCE and has grown sales at 18% a year for five years. The share price has fallen about 32% from its 52-week high after the Q1 FY27 result (12 Aug 2026), and promoters have cut their stake from 66.6% to 54.5% since Dec 2023. Our blended value is ₹2,099 a share; the cash-flow (DCF) leg alone gives ₹1,939, which is close to the market price, so most of the upside rests on the P/E leg. Moderate-conviction view; scorecard 75/100.

Key data		
Market cap	₹4,786 crore	Screener, 19 Oct 2026
52-week high / low	₹2,675 / ₹1,696	Screener
P/E (trailing) | EV/EBITDA	18.2x | 10.6x	Screener
P/B | dividend yield	3.95x | 2.19%	Screener (book value ₹462)
ROCE | ROE (FY26)	29.3% | 22.6%	Screener
Debt / equity | interest cover	0.05 | 101x	Screener
Promoter holding | pledge	54.5% | nil	Screener, Sep-26 quarter
FY26 sales | EBITDA | PAT	₹2,816 | ₹396 | ₹256 crore	Screener export
Q1 FY27 sales | PAT (consolidated)	₹775 | ₹64.9 crore	Screener export; filing 12 Aug 2026
Beta (5Y)	0.49 (we use 1.0)	stockanalysis.com, 4 Sep 2026
Avg daily NSE volume (22 May–3 Aug)	49,351 shares	stockanalysis.com

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How to read this report: every table and chart names its source. Numbers marked "our estimate" or "our judgement" are our own assumptions, not company guidance. Items we could not verify are listed in the data-gaps table (Appendix) instead of being guessed.

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Sources used in this report: (1) the Drive folder "FIEM INDUSTRIES LTD RESEARCH RESOURCES": annual reports FY24, FY25 and FY26; five earnings-call transcripts (Q1 FY26 to Q1 FY27); investor presentations for Q4 FY26 and Q1 FY27; the Q1 FY27 results filing (12 Aug 2026); the Screener.in Excel export (10-year P&L, balance sheet, cash flow, 10 quarters); a Trendlyne stock report (19 Oct 2026); and three Screener screenshots (key metrics, shareholding pattern, peer comparison); (2) a few web pages read in this session for prices and rates (listed in the Appendix). The annual-report text we could read covers the directors report and MD&A; the audited financial statements and notes were not in the text extract, so financial analysis uses the Screener export and the investor presentations. Credit rating and BRSR were not in the folder.

2 Executive summary

Thesis in five points

- Quality compounder at a lower multiple than its history of delivery suggests: sales CAGR 18.2% (5y), PAT CAGR 22.3% (3y), ROCE 29%, no financial debt, 41% dividend payout in FY26. Trailing P/E is 18.2x against a FY22–FY26 year-end average of 16.6x (Screener).
- LED and EV content is the growth lever: LED was 47.5% of automotive sales in FY26 and 48.2% in Q1 FY27; management targets a 70% LED share of lighting in 24–30 months (from 63% now) and cites new wins with Ather, River, Royal Enfield EV and Hero Vida (Q1 FY27 call).
- Q1 FY27 was good on growth (consolidated sales +17.7%, standalone +18.6%) but profit growth lagged: EBITDA margin was 13.4% on revenue vs 14.5% in Q4 FY26 as employee cost rose 30% YoY (Haryana wage revision) and material cost rose 66 bp of revenue.
- Valuation gives limited margin of safety: our DCF (WACC 12.6%, terminal growth 5%) gives ₹1,757 a share today against ₹1,824; the market already prices a ~14.4% steady EBITDA margin, which is above the 14% management guides. Upside to our ₹2,100 target needs the P/E to hold at 18x on FY28E EPS of ₹125.
- Governance and concentration are the reasons not to be more positive: promoters sold 4.45% of equity in September 2025 (66.6% → 54.5% since Dec 2023), TVS and Honda are about 59% of automotive sales, and debtor days rose from 37 to 50 in FY26.

Key risks (detail in section 13)

- Customer concentration: top three customers (TVS, Honda, Yamaha) were about 72% of automotive sales in Q1 FY27; TVS alone was 33.7% and TVS plus Honda 58.9%.
- Cost pass-through lag: management says raw-material increases are passed on with a lag of about two quarters; wages in Haryana (two plants) rose ~35% and the Q1 employee-cost run-rate is expected to persist for three more quarters.
- Receivables and working capital: debtors ₹388 crore (50 days) vs ₹242 crore (37 days); CFO was only 63% of PAT in FY26.
- Insurance claims outstanding on two fires (Unit 7 in 2023, Unit 8 in Aug 2025): ₹82.3 crore claim filed for Unit 8; settlement and accounting impact not final.
- Four-wheeler ramp has slipped about two quarters, and the FY27 guide of ₹100–150 crore given in June 2026 was described as "slightly lower" in August; management itself calls it a long-term effort. Receivables rose because bill discounting was discontinued (management's explanation; terms unchanged), and imports of about ₹498 crore a year (17–18% of sales) carry currency risk.

Valuation verdict

Method	Value per share (12M)	vs CMP
DCF, base case (WACC 12.6%, g 5%)	₹1,939	+6%
P/E leg: 18x FY28E EPS ₹125.5	₹2,260	+24%
Blend 50:50 (base)	₹2,099	+15%
Bear / bull blend	₹1,581 / ₹2,480	-13% / +36%
Probability-weighted (25/50/25, our judgement)	₹2,065	+13%
12M target (base blend, rounded)	**₹2,100**	**+15%**

Source: our model (assumptions in section 11–12). Rating scale (our own): Accumulate = expected 12M upside of about 10–20% with identifiable risks; Hold = −10% to +10%; Avoid = worse than −10%. This is a research opinion for a virtual portfolio, not a recommendation to trade.

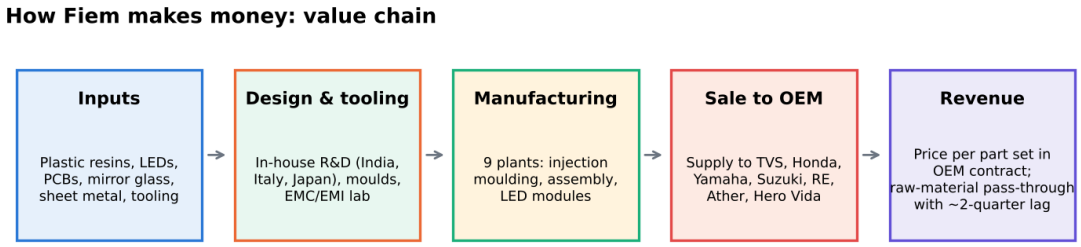
What would change our mind

- More upgrade-worthy: two consecutive quarters with EBITDA margin back at 14%+ and debtor days under 45; a confirmed four-wheeler order with volume numbers; promoters stop selling.
- Downgrade-worthy: a second round of promoter selling, loss or deferral of a TVS or Honda platform, debtor days above 55, or EBITDA margin below 13% for two quarters.

3 Business model explained (read this first)

In one paragraph

Every motorcycle and scooter has a headlamp, tail-lamp, indicators and mirrors. Fiem designs and manufactures those parts and sells them to the companies that build the vehicles (TVS, Honda, Yamaha, Suzuki, Royal Enfield and newer electric-scooter makers such as Ather and Hero Vida). Fiem does not sell to ordinary consumers: about 94% of its automotive sales are to vehicle makers, about 5% to the replacement market and about 1–2% exports (investor presentations). It is a "tier-1 supplier": it supplies directly to the vehicle maker, and when a maker launches a new model Fiem competes, with a few other suppliers, to be chosen for the lighting on that model.



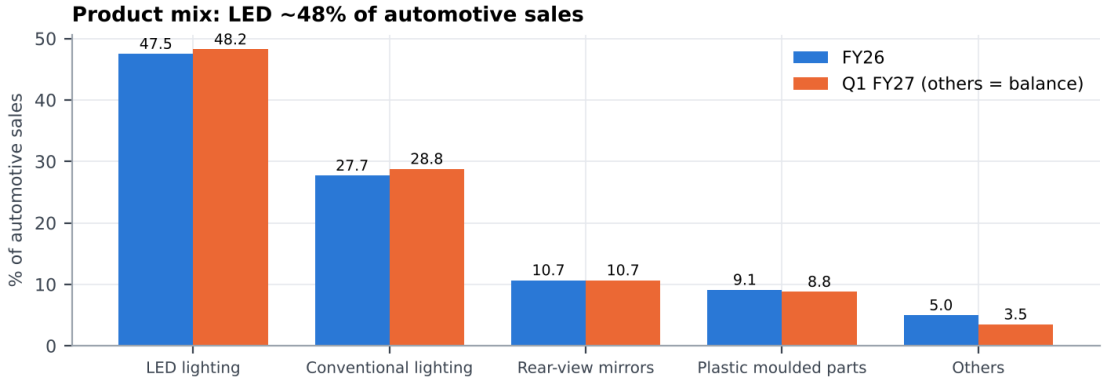
Source: our synthesis of company disclosures (annual report, calls, presentations); illustrative, not company-published

Figure 1: Fiem value chain – from inputs to revenue (illustrative; our synthesis of disclosures).

How the money is made, step by step

- Input: Fiem buys plastic resin, LEDs and electronic components, mirror glass and sheet metal. Raw materials cost 59–63% of sales in every one of the last ten years (Screener), so what Fiem charges its customers must follow what these inputs cost.
- Design and tooling: for each new vehicle model Fiem designs the lamp, builds the moulds (tools) and tests it. It has R&D capability in India, Italy and Japan and an in-house EMC/EMI electronics test lab in Gurugram (annual report FY26; investor presentation). Winning the design is what locks in the supply for the life of the model.
- Manufacturing: nine manufacturing units in Haryana, Tamil Nadu, Karnataka, Himachal Pradesh, Rajasthan and Gujarat (annual report FY26). Plants are placed near customers; the Q1 call says most FY27 capex (about ₹100 crore) is going to Hosur in South India to serve TVS and EV makers.
- Sale: parts are delivered to the customer's assembly plants in line with production schedules. Each customer pays within its credit terms; Fiem's debtors were 50 days of sales at March 2026.
- Price: the price of each part is agreed with the customer. According to management, higher raw-material costs are recovered from customers with a lag of about two quarters, which is why margins dip when inputs rise (as in Q1 FY27) and recover later.

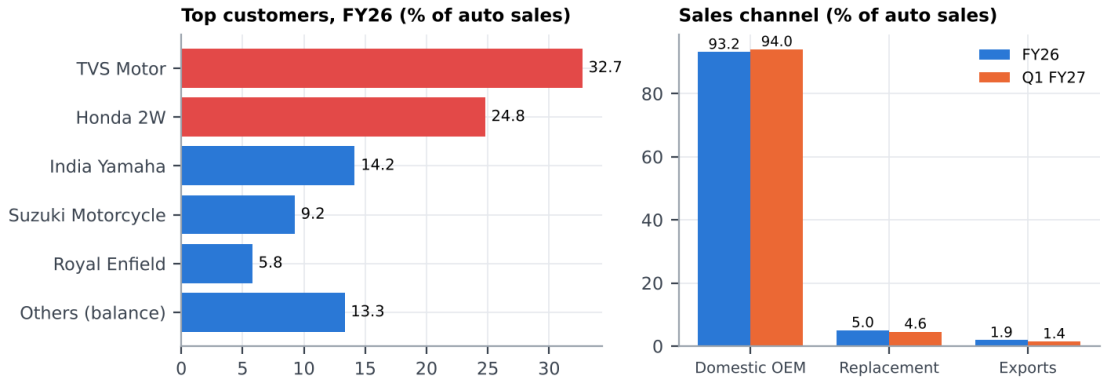
What Fiem sells and to whom



Source: Fiem investor presentations (Drive folder)

Figure 2: Product mix as % of automotive sales. LED lighting is now the largest line.

LED lamps carry a higher value per vehicle than older halogen ("conventional") bulbs, so a rising LED share lifts revenue per vehicle even if volumes are flat. LED share of Fiem's automotive lighting was 63% by value and has been flat for seven quarters because entry-level motorcycles that still use halogen are selling well (Q1 FY27 call). Electric two-wheelers use more LED content; EVs were above 9% of two-wheeler volumes in Q1 FY27 against about 6% a year earlier (Q1 FY27 call).



Source: Fiem investor presentations (Drive folder)

Figure 3: Customer concentration and sales channel.

Customer concentration is the key feature of the model. TVS and Honda were 33.7% and 25.2% of automotive revenue in Q1 FY27 (about 59% together); with Yamaha, Suzuki and Royal Enfield the five customers were 86.7% of FY26 automotive sales. This helps (long, stable relationships and a large share of each customer's lighting) and hurts (bargaining power sits with the customer, and one platform loss would be visible in revenue).

Capacity, utilisation and unit economics

Management did not publish installed capacity in units, but gave utilisation on the calls: about 80% (Q2 FY26), 77–78% (Q3 FY26) and about 75% (Q4 FY26), with about ₹200 crore of capex planned over two years. Per-unit price and margin are not disclosed. What the numbers do show is that net block was ₹604 crore against FY26 sales of ₹2,816 crore (about 4.7x sales per rupee of fixed assets) and that depreciation is a steady 2.6% of sales.

The moat – and what is not a moat

- What helps: design-in with the vehicle maker (switching a lamp mid-life needs re-validation), in-house tooling and R&D, scale in LED and two-wheeler lighting, long customer relationships and a debt-free balance sheet that can fund capex from cash flow.
- What is not a moat: Fiem is a price-taker on inputs and its customers are large; its LED technology is not exclusive and the same customers also source from other lighting suppliers such as Uno Minda and Lumax (peers, section 12). Margins of 13–14% are good but not unique.

What can go wrong

- A customer moves a model to another supplier, or a big customer's volumes slow (two-wheeler demand is cyclical).
- Raw-material or wage inflation outruns pass-through; Q1 FY27 is the live example.
- The four-wheeler push (2.5% of revenue, with a Mercedes-Benz validation programme that management says can take 1.5–2 years before any production RFQ) consumes capital without returns for several years.

Glossary

Term	Plain meaning
OEM	Original equipment manufacturer: the company that builds the vehicle (e.g. TVS, Honda).
Tier-1 supplier	Supplier that sells directly to the OEM rather than through another supplier.
LED vs conventional lighting	LED lamps last longer and cost more per vehicle than halogen bulbs; the shift to LED raises content per vehicle.
IPIS	Integrated passenger information systems (LED displays for buses): about 0.1% of sales.
EBITDA margin	Operating profit before depreciation and interest as a % of sales (Screener calls it operating profit).
ROCE / ROE	Profit earned on the capital employed / on shareholders' equity.
WACC	Discount rate used to value future cash flows in a DCF.
DCF	Valuing a business by discounting its expected free cash flows.
Debtor days	Average days it takes customers to pay: receivables / sales × 365.
RFQ	Request for quotation: a customer invites suppliers to bid for a part.
EMC/EMI lab	Test facility for electromagnetic compatibility of electronics.
Promoter pledge	Promoters borrowing against their shares: nil at Fiem.

Key takeaways: Fiem is a two-wheeler lighting and mirror supplier with 59% of sales from TVS and Honda. • Raw material is ~61% of sales; margin depends on pass-through speed. • LED/EV content and four-wheelers are the growth levers; capacity and unit economics are unverified.

4 Business overview

Fiem Industries was incorporated in 1989 (as Rahul Auto Private Limited, renamed in May 1992) and is headquartered in Gurugram, with its registered office at Aerocity, New Delhi. It has about 2,682 employees (stockanalysis.com company page). The Executive Chairman is J.K. Jain; Rahul Jain is Managing Director, Aanchal Jain is Joint MD and Whole-Time Director, and Rajesh Sharma is Joint MD; Om Prakash Gupta is CFO and COO (stockanalysis.com; Q1 filing signed by J.K. Jain).

Segments and group structure

Segment (Q1 FY27 standalone)	Revenue	% of total	Segment result	Margin
Automotive (lighting, mirrors, plastic parts)	₹774.3 crore	99.9%	₹96.7 crore	12.5%
Others (LED luminaires, display panels, IPIS)	₹1.1 crore	0.1%	₹-0.03 crore	loss-making
Total revenue from operations	**₹775.4 crore**	**100.0%**		

Source: Q1 FY27 standalone results filing (12 Aug 2026). Segment result is before finance cost and unallocated items.

Consolidated results include Fiem Industries Japan Co. (100%), Fiem Research and Technology S.r.l., Italy (100%) and a 50% joint venture, Fiem Kyowa (HK) Mould Company. These entities are small: their combined net loss was about ₹0.30 crore in Q1 FY27 and the auditor calls them not material [Q1 filing, review report]. Consolidated and standalone numbers therefore track closely (FY26 consolidated PAT ₹255.6 crore vs standalone ₹253.9 crore).

Geography and channel

Over 98% of automotive sales are in India: exports were 1.85% in FY26 and 1.43% in Q1 FY27 and replacement 5.0% / 4.6% (investor presentations). Yamaha volumes were flat YoY in Q1 FY27 because exports were weak and domestic XSR, FZ and Aerox volumes were lower (Q1 FY27 call).

Growth initiatives (management commentary, earnings calls)

- Electric two-wheelers: sole lighting supplier for Ather's Konark, supply for River RX02 and Royal Enfield's EV platform; Hero's Vida plant in Andhra Pradesh to be supplied from Hosur from the next quarter.
- Four-wheelers: supplying number-plate lamps, rear reflectors and fog lamps to Mahindra (Scorpio, Thar, XUV700 refresh) and development orders from Force Motors. About ₹700 crore of RFQs were in the pipeline at Q4 FY26 (about 70% moved to the next stage; management said this is not ₹500 crore of confirmed orders). Four-wheelers were ~2.3–2.5% of revenue; the revenue target slipped about two quarters, with meaningful revenue now expected in FY28.
- Mercedes-Benz: RFQ received in Q2 FY26, plant approved as a potential global supplier of small lamps in Q3, testing and validation project in Q4 and prototypes complete in Q1 FY27; vehicle-level testing can take 1.5–2 years before any production RFQ.
- New products: hands-off detection proofs-of-concept and light-control modules in development with two or three customers; mass production depends on customer RFQs.

Management FY27 guidance: 15–20% revenue growth, about 14% EBITDA margin, capex about ₹100 crore (Q1 FY27 call; the FY26 and Q1 numbers match the filing).

Key takeaways: Single-segment business: automotive is 99.8% of revenue. • The group is small outside India; subsidiaries are immaterial. • Growth stories (EV, four-wheelers, Mercedes) are real but small and slow to convert.

5 Industry analysis

Market size and Fiem's share of the two-wheeler lighting market: no authoritative, citable estimate exists in our sources, so we do not state one. The annual reports do give SIAM vehicle-production data (section 19). What we can cite:

- Two-wheeler demand: Q1 FY27 was a record quarter with 7.25 million two-wheelers sold (Q1 FY27 call).
- Electrification: EVs were above 9% of two-wheeler volumes in Q1 FY27 vs about 6% a year earlier (Q1 FY27 call). EV models need more LED content, which helps lighting suppliers with EV design-ins.
- LED penetration: management expects the broader market to reach 90–95% LED by 2030 and targets Fiem's own LED share of lighting at about 70% in 24–30 months (Q1 FY27 call).
- Sector price action: the auto-ancillary index fell about 2% on 8 Oct 2026 and Fiem underperformed it that day (MarketsMojo, 8 Oct 2026).

Porter's five forces (our qualitative assessment)

Force	Assessment	Reasoning (our judgement)
Buyer power	High	Three OEMs are ~72% of automotive sales; each can re-source new models. Mitigant: switching mid-life is costly.
Supplier power	Medium	Raw material ~61% of sales; commodity inputs, but pass-through is lagged.
Rivalry	High	Uno Minda, Lumax and Varroc compete in lighting; larger peers have more diversified revenue.
New entrants	Low–medium	Validation cycles, tooling and OEM approvals are barriers; Chinese LED imports and EV start-ups are a watch item.
Substitutes	Low	A lamp has no substitute; the shift from halogen to LED helps incumbents who can make LEDs.

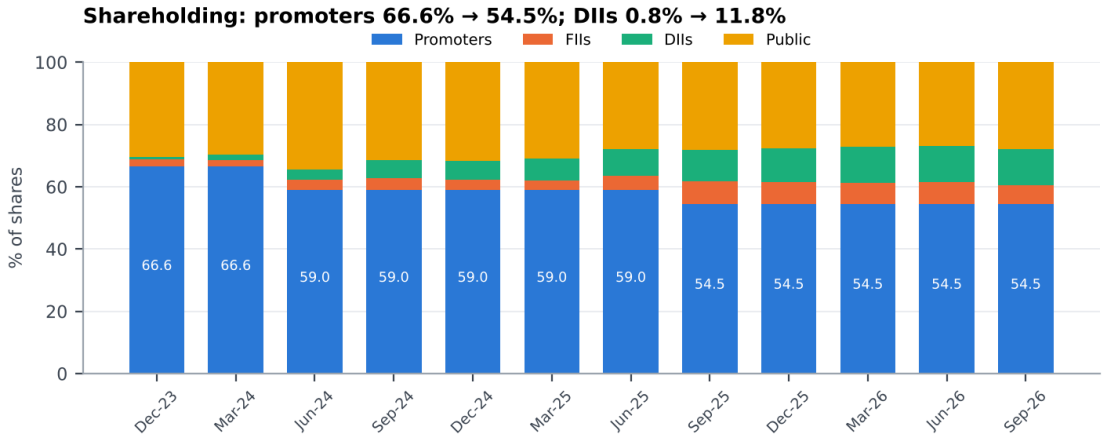
Regulation and cyclicality

Two-wheeler volumes are cyclical and sensitive to rural income, fuel prices and interest rates. Safety rules on lighting and the shift to EVs are structural tailwinds for LED content. Labour-law changes are a live cost item: Haryana raised minimum wages by about 35% and management expects other states to follow (Q1 FY27 call). Input-cost and currency sensitivity (weaker rupee, tariffs, supply-chain disruption) were the risks management itself named.

Key takeaways: Vehicle-production data is from SIAM via the annual report; lighting-market size and share are not published, so we do not state them. • EV and LED trends help content per vehicle; buyer power and wage inflation cap margins.

6 Management and governance

RED FLAG (automatic under our framework): promoter stake reduction. Promoter holding fell from 66.56% (Dec-23/Mar-24) to 58.96% (Jun-24) and to 54.51% (Sep-25) [shareholding screenshot, Screener]. It has been unchanged at 54.51% for the last four quarters; promoter pledge is nil.



Source: shareholding-pattern screenshot (Screener.in) in Drive folder, Dec-23 to Sep-26

Figure 4: Shareholding pattern, Dec-23 to Sep-26. Promoters have been replaced mainly by domestic institutions.

Event	Detail	Source
Sept 2025 sale	Aanchal Jain, Seema Jain and Rahul Jain sold 11,70,000 shares (4.45% of equity) in the open market on 5 and 17 Sep 2025; promoter group 58.96% → 54.52%. Price not disclosed in the sources we could read.	Trendlyne; ScanX; FilingReader
Earlier drop	Promoters 66.56% (Mar-24) → 58.96% (Jun-24): a 7.6 pp fall, about 20 lakh shares. Rahul Jain and Aanchal Jain sold 5 lakh shares each in bulk deals at about ₹1,170–1,225 (Trendlyne); the rest of the sales are not itemised in our sources.	Screener screenshot; Trendlyne; share count is our calculation
Institutions	DIIs 0.80% → 11.84%, FIIs 2.32% → 5.86% (peak 7.19% in Sep-25); shareholder count 50,287 → 73,810.	Screener screenshot

Interpretation (our judgement): the selling coincided with the stock's re-rating (price ₹1,133 at March 2024 to ₹1,911 at March 2026, Screener) and the stake sold appears to have been absorbed by domestic funds. A promoter holding of 54.5% is still above our 40% threshold, but repeated selling is a negative signal and the stake should be monitored every quarter.

What we could not verify

Item	Finding (annual report FY26 and calls)
Related-party transactions	None material (directors' report FY26)
Board	14 directors: 7 executive (4 from the Jain family) and 7 independent; Audit and NRC chaired by independents
Auditor	Anil S. Gupta & Associates, appointed Aug 2022 for five years; no qualification; no fraud reported. KAMs, CARO and notes were not in the text extract: Not available / unverified
Remuneration	Trendlyne lists director pay for FY26 without clear units, so we do not quote it
Controversies	None found; two plant fires are covered in section 20
Management changes (last 12 months)	CEO Vineet Sahni left 31 May 2026; Rahul Jain (MD) took over; Aanchal Jain became Joint MD in June 2026; J.K. Jain became Executive Chairman 1 Jun 2026
Credit rating	Not available / unverified (not in the folder)

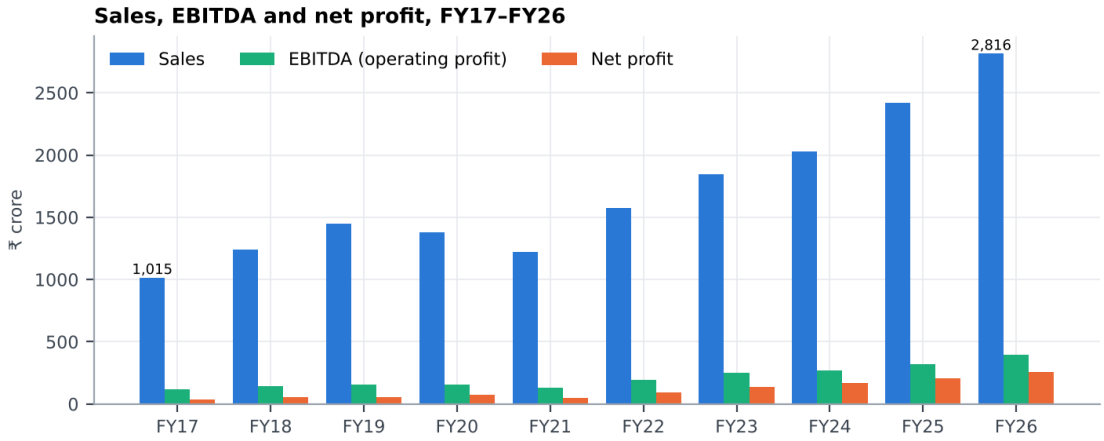
Key takeaways: Promoter stake cut 12 pp since Dec-23 is a red flag, though pledge is nil and the stake is stable since Sep-25. • The CEO left in May 2026 and the Jain family now holds more of the top roles (section 20).

7 Historical financial analysis

Fiem's sales rose from ₹1,015 crore in FY17 to ₹2,816 crore in FY26. Growth was flat through FY19–FY21 (FY21 was the pandemic year) and accelerated after FY21. Net profit grew faster than sales because margins widened and interest costs vanished as debt was repaid.

CAGR to FY26	3 years	5 years	9 years (FY17–26)
Sales	15.1%	18.2%	12.0%
EBITDA	16.8%	24.2%	14.4%
Net profit	22.3%	40.5%	25.5%
EPS (bonus-adjusted)	22.3%	40.5%	25.5%

Source: Screener export; our calculation. 10-year CAGR is 9 years because the data begin at FY17. The 5-year profit CAGR is flattered by the low FY21 base (₹46.7 crore).

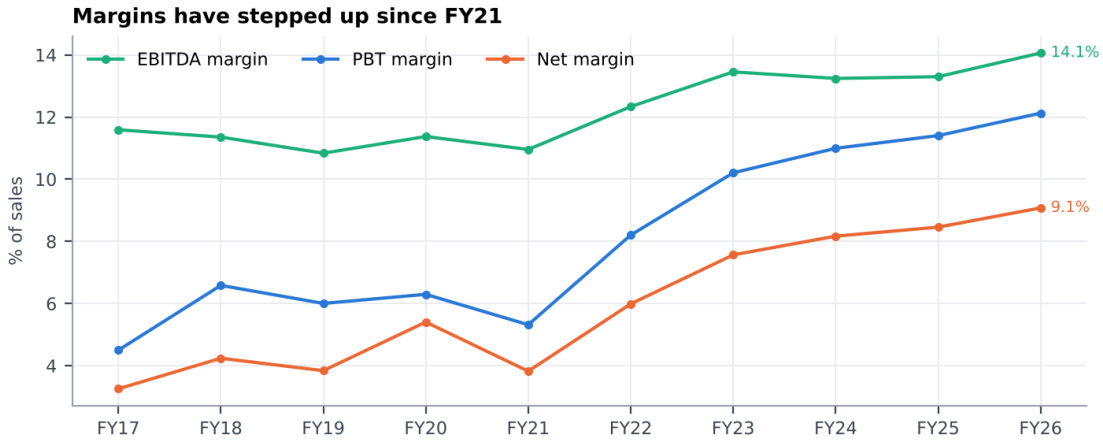


Source: Screener.in export (Drive folder), consolidated, FY ends March

Figure 5: Sales, EBITDA and net profit, FY17–FY26.

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Sales	1,014.6	1,239.7	1,449.0	1,379.4	1,221.2	1,572.3	1,848.1	2,028.8	2,422.6	2,815.6
growth %	–	22.2	16.9	-4.8	-11.5	28.8	17.5	9.8	19.4	16.2
EBITDA	117.6	140.8	157.0	156.9	133.8	194.0	248.6	268.7	322.2	395.9
margin %	11.6	11.4	10.8	11.4	11.0	12.3	13.5	13.2	13.3	14.1
Depreciation	39.2	44.3	48.9	53.2	57.2	59.0	63.4	58.6	64.3	72.5
Interest	23.2	22.7	22.1	17.7	11.6	8.6	7.4	2.9	1.5	2.8
Other income	-9.5	7.9	1.0	0.8	0.0	2.6	10.8	16.0	19.9	20.8
PBT	45.6	81.6	87.0	86.9	65.0	129.0	188.6	223.1	276.3	341.4
Tax	12.6	29.0	30.4	8.2	18.0	33.7	48.7	57.2	71.3	85.8
Net profit	33.0	52.6	55.6	74.6	46.7	94.2	139.8	165.7	204.9	255.6
EPS (₹)	12.6	20.0	21.2	28.4	17.8	35.8	53.2	63.0	77.9	97.2
Dividend paid	10.5	11.8	15.8	17.1	21.1	26.3	39.5	52.6	79.0	105.3

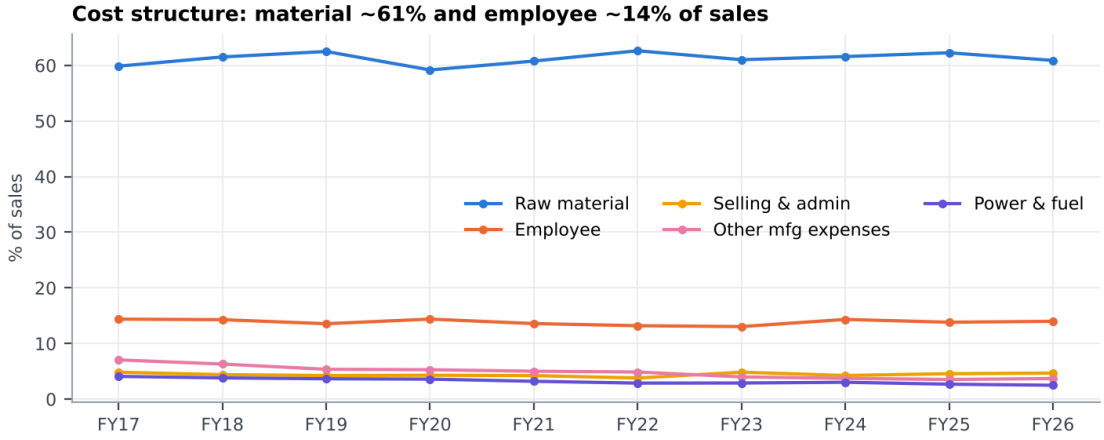
Source: Screener.in export (consolidated). EBITDA = Screener "operating profit".



Source: Screener.in export (Drive folder), consolidated, FY ends March; EBITDA = Screener "operating profit"

Figure 6: Margins. EBITDA margin was 11–12% until FY21 and 13–14% since FY23.

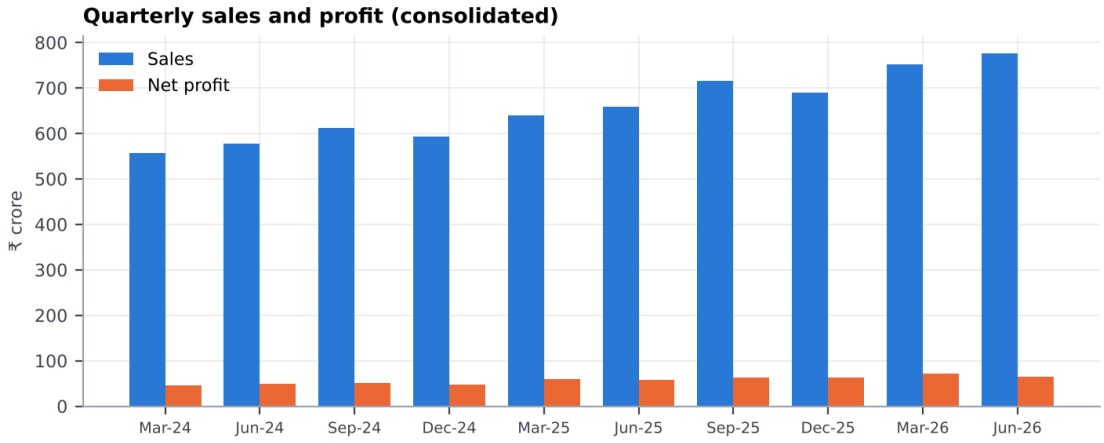
The step-up in margin came from operating leverage and the move to LED (higher value per part) rather than from falling input costs: raw material was 59.9% of sales in FY17 and 60.9% in FY26. Employee cost has been 13–14.5% of sales throughout. Depreciation fell from 3.9% to 2.6% of sales as the asset base was sweated (net block ₹479 crore in FY17 vs ₹604 crore in FY26 on 2.8x the sales).



Source: Screener.in export (Drive folder), consolidated, FY ends March; raw material = raw material cost net of nothing else (Screener line)

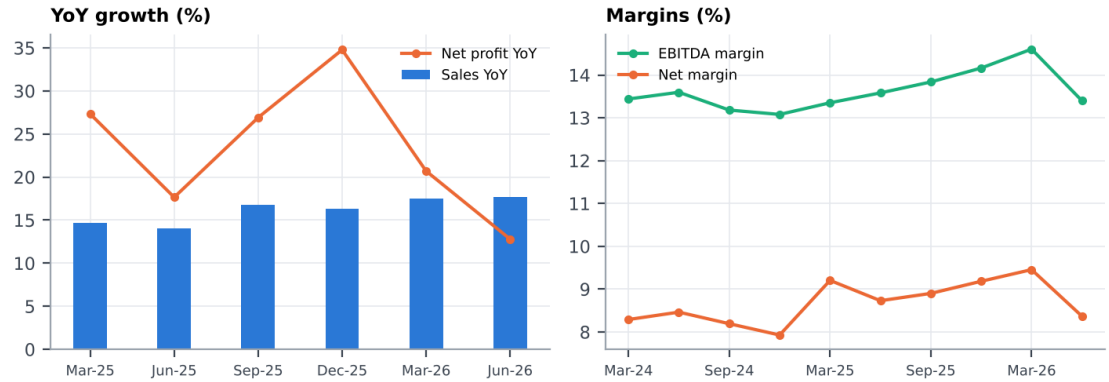
Figure 7: Cost lines as % of sales.

Quarterly trend



Source: Screener.in export (Drive folder), consolidated

Figure 8: Ten quarters of sales and profit.



Source: Screener.in export, consolidated; our calculation

Figure 9: YoY growth and margins by quarter.

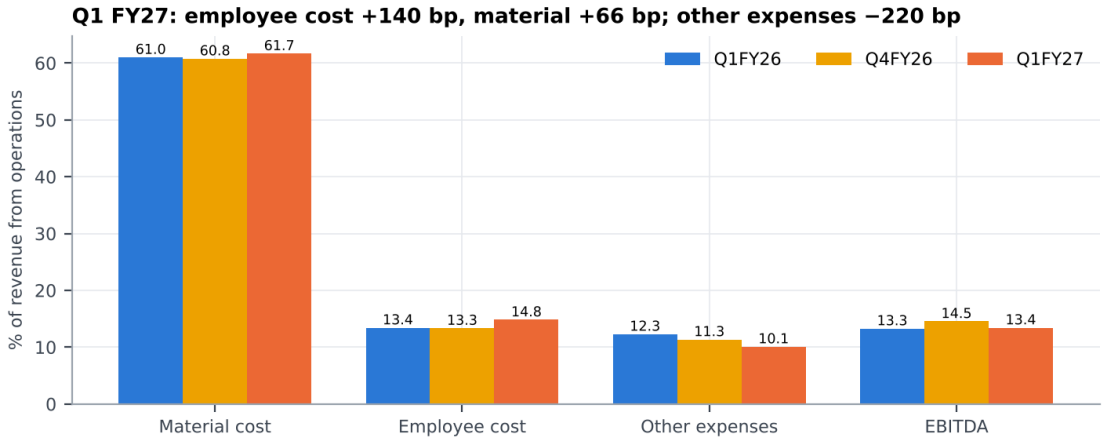
₹ crore	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26
Sales	557.5	577.7	612.4	593.1	639.4	658.9	715.4	690.1	751.2	775.4
YoY %	–	–	–	–	14.7	14.1	16.8	16.4	17.5	17.7
EBITDA	74.9	78.5	80.7	77.6	85.4	89.5	99.0	97.7	109.7	103.9
margin %	13.4	13.6	13.2	13.1	13.4	13.6	13.8	14.2	14.6	13.4
PBT	61.7	66.4	68.0	64.5	77.3	77.8	84.8	84.2	94.7	88.3
Net profit	46.2	48.9	50.2	47.0	58.9	57.5	63.7	63.4	71.0	64.9
PAT YoY %	–	–	–	–	27.3	17.7	26.9	34.8	20.7	12.8

Source: Screener.in export (consolidated). YoY needs the same quarter a year earlier, so it starts at Mar-25.

Q1 FY27 deep-dive (standalone filing, 12 Aug 2026)

% of revenue from operations	Q1 FY26	Q4 FY26	Q1 FY27	YoY change
Material cost (incl. inventory change)	61.0%	60.8%	61.7%	+66 bp
Employee cost	13.4%	13.3%	14.8%	+140 bp
Other expenses	12.3%	11.3%	10.1%	-221 bp
EBITDA (our calculation)	13.3%	14.5%	13.4%	+15 bp

Source: Q1 FY27 standalone results filing; our calculation. Headline EBITDA is flat YoY (13.3% → 13.4%) only because other expenses fell 220 bp.



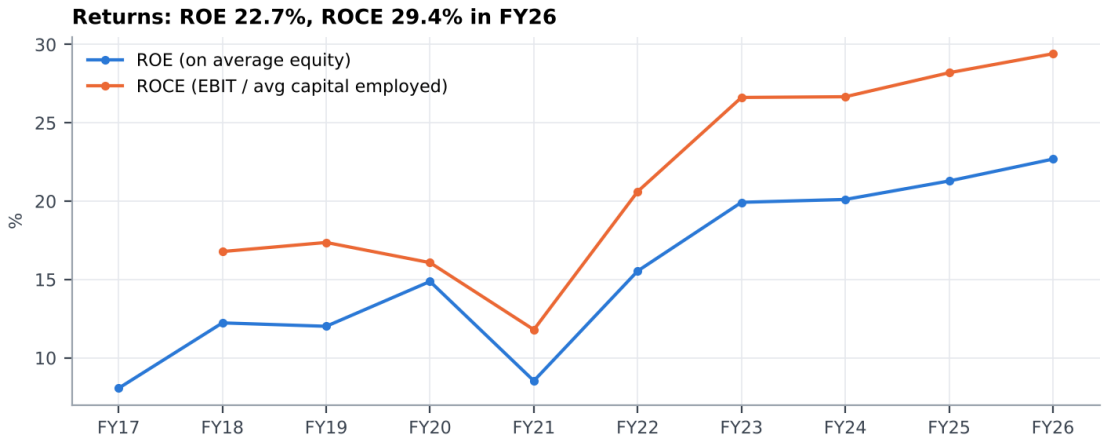
Source: Q1 FY27 standalone results filing (12 Aug 2026), Drive folder; our calculation (EBITDA = revenue − material − employee − other expenses)

Figure 10: Q1 FY27 cost structure vs Q1 FY26 and Q4 FY26.

Two things stand out. First, employee cost jumped 30% YoY (₹114.9 crore vs ₹88.4 crore) against revenue growth of 17.8%; management attributes this to the Haryana minimum-wage revision and expects the run-rate to hold for three more quarters. Second, other expenses fell 3.4% in absolute terms (₹78.2 crore vs ₹81.0 crore) while revenue rose 17.8%. We cannot explain that from the filing (it could include recoveries or timing items) and flag it as a quality-of-earnings question: without the 220 bp saving, Q1 EBITDA margin would have been about 11.2%. Standalone PAT was ₹65.19 crore (+16.3% YoY, −7.6% QoQ); consolidated PAT was ₹64.88 crore (+12.8% YoY) because the overseas entities swung to a small loss.

Key takeaways: Sales CAGR 15% (3y) and 18% (5y); PAT CAGR 22% (3y). • Margins are at record levels; Q1 FY27 shows cost pressure masked by a drop in other expenses.

8 Ratio analysis

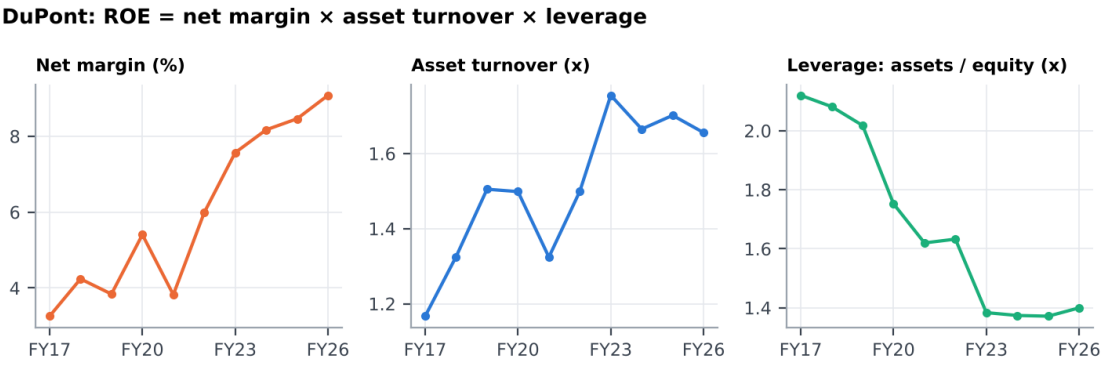


Source: Screener.in export (Drive folder), consolidated, FY ends March; computed from stated inputs (our calculation)

Figure 11: ROE and ROCE.

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
ROE %	8.1	12.2	12.0	14.9	8.5	15.5	19.9	20.1	21.3	22.7
ROCE %	–	16.8	17.4	16.1	11.8	20.6	26.6	26.7	28.2	29.4
Net margin %	3.3	4.2	3.8	5.4	3.8	6.0	7.6	8.2	8.5	9.1
Asset turnover x	1.17	1.33	1.50	1.50	1.32	1.50	1.75	1.67	1.70	1.66
Leverage x	2.12	2.08	2.02	1.75	1.62	1.63	1.38	1.37	1.37	1.40
Interest cover x	3	5	5	6	7	16	26	77	180	123
Debt/equity x	0.55	0.35	0.36	0.24	0.14	0.07	0.03	0.03	0.02	0.05
Dividend payout %	32	23	28	23	45	28	28	32	39	41

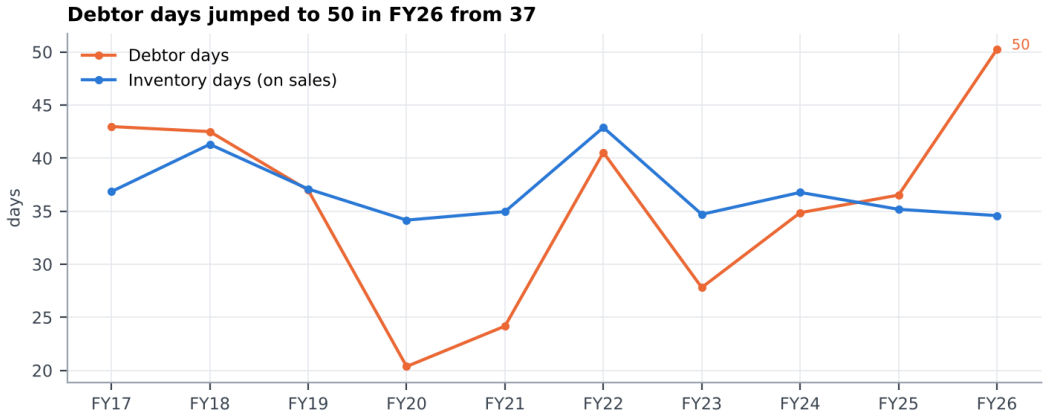
Source: Screener export; our calculation (ROE on average equity; ROCE = (PBT + interest) / average (equity + borrowings)). Our ROE/ROCE differ slightly from the Screener screenshot (22.6% / 29.3%) because of averaging.



Source: Screener.in export (Drive folder), consolidated, FY ends March; our calculation

Figure 12: DuPont decomposition.

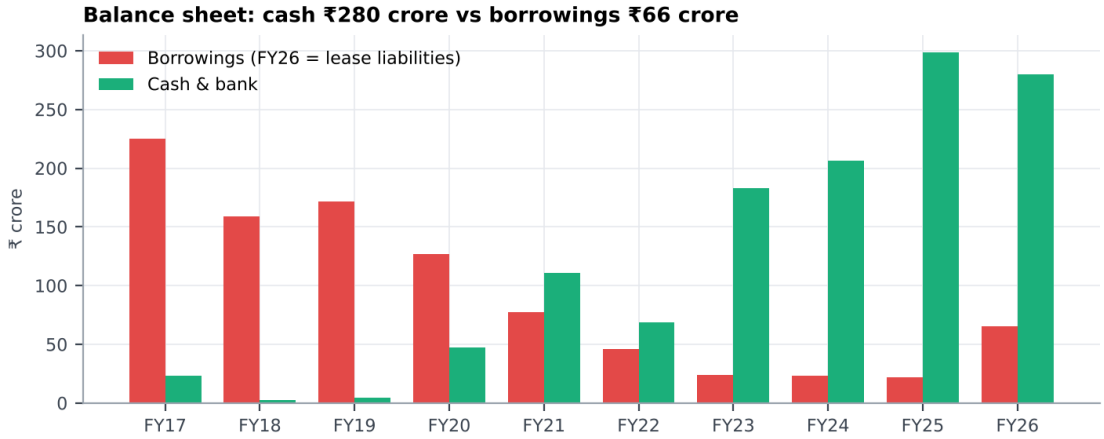
ROE rose from 8% (FY17) to 22.7% (FY26). DuPont shows the driver: net margin tripled (3.3% to 9.1%) and asset turnover improved from 1.2x to 1.65x while leverage fell from 2.1x to 1.4x. Returns are therefore earned from operations, not from borrowing. FY17 interest cover was about 3x; it is now 100x+, and the FY26 borrowings of ₹65.6 crore are almost entirely lease liabilities (₹5.0 crore current plus ₹60.5 crore non-current, stockanalysis.com balance sheet).



Source: Screener.in export (Drive folder), consolidated, FY ends March; days = year-end balance / sales × 365 (our calculation); payables not separately disclosed in export

Figure 13: Debtor and inventory days.

Working capital is the weak spot. Debtor days rose from 37 to 50 in FY26 (receivables +60% against sales +16%); inventory days stayed near 35. Operating working capital (Screener "other assets" less cash less other liabilities) was ₹382 crore, or 13.6% of sales, versus 7.8% a year earlier. Management attributes the rise to discontinued bill discounting with unchanged payment terms (Q4 FY26 call); standalone trade receivables rose to ₹388 crore from ₹242 crore (investor presentation). Payables days and the cash conversion cycle cannot be computed because the export lumps payables into "other liabilities": Not available / unverified.

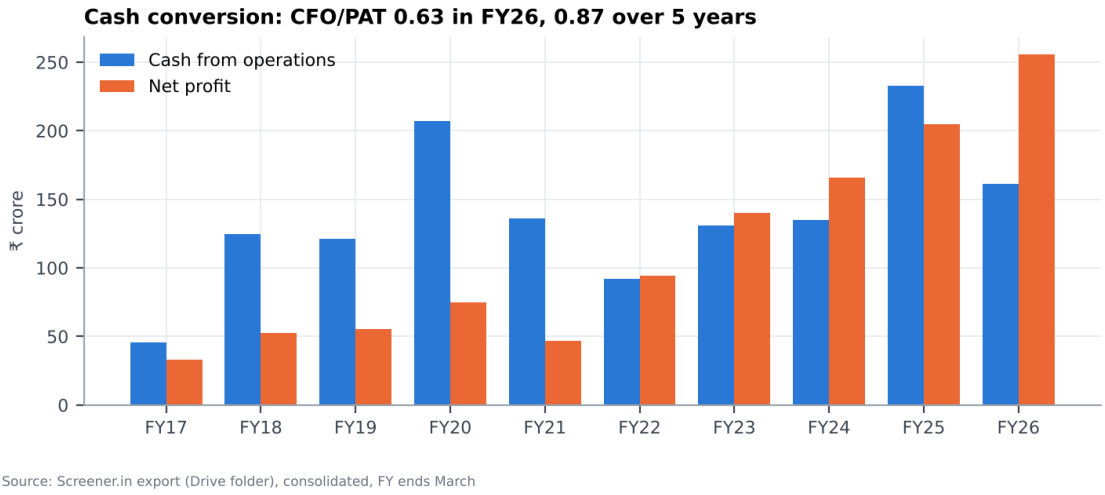


Source: Screener.in export (Drive folder), consolidated, FY ends March; FY26 borrowings composition per stockanalysis.com balance sheet (leases)

Figure 14: Borrowings and cash.

Key takeaways: ROE 22.7% and ROCE 29.4% with leverage of 1.4x: high-quality returns. • The one deteriorating ratio is debtor days (37 → 50); watch it each quarter.

9 Quality of earnings and audit review



Source: Screener.in export (Drive folder), consolidated, FY ends March

Figure 15: Cash from operations vs net profit.

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
CFO	45.6	124.7	121.0	207.3	135.9	92.2	130.9	134.9	233.1	161.3
Net profit	33.0	52.6	55.6	74.6	46.7	94.2	139.8	165.7	204.9	255.6
CFO/PAT x	1.38	2.37	2.17	2.78	2.91	0.98	0.94	0.81	1.14	0.63
Accruals / assets %	-1.4	-7.7	-6.8	-14.4	-9.7	0.2	0.8	2.5	-2.0	5.5
Receivables growth %	–	21	2	-48	5	116	-19	38	25	60
Inventory growth %	–	37	5	-12	-9	58	-5	16	14	14
Sales growth %	–	22	17	-5	-11	29	18	10	19	16
Tax rate %	27.6	35.6	34.9	9.4	27.8	26.1	25.8	25.7	25.8	25.1

Source: Screener export; our calculation. Accruals ratio = (PAT − CFO) / total assets.

CFO covered 0.87x of profit over five years and 0.85x over three, which is acceptable, but FY26 was 0.63x because receivables absorbed about ₹145 crore. FY26 receivables growth of 60% was nearly four times sales growth of 16%; inventory grew 14%. If debtor days do not normalise, profit quality weakens.

Capex vs depreciation and capitalised items

Our estimated capex (net block change plus CWIP change plus depreciation) was ₹137 crore in FY25 and ₹118 crore in FY26 against depreciation of ₹64 crore and ₹72 crore, i.e. 1.6–2.1x depreciation: investment is ahead of maintenance levels. Management guides about ₹100 crore for FY27. Capitalised expenses and exceptional items: none visible in the Q1 filing (no exceptional items in Q1 FY27, Q4 FY26 or Q1 FY26).

Insurance claims on two plant fires

Item	Detail	Source
Unit 7, Rai (Haryana) – fire 13 Jun 2023	Plant and equipment reinstated. Receivable recognised: inventory ₹25.84 crore + PPE ₹25.53 crore. ₹50 crore interim payment received in FY25; final settlement not yet recorded.	Q1 FY27 filing, note 4
Unit 8, Tapukara (Rajasthan) – fire 23 Aug 2025	Receivable recognised at carrying value: inventory ₹21.06 crore + PPE ₹27.68 crore (₹48.74 crore). Claim of ₹82.30 crore on reinstatement basis filed 30 Jan 2026; "final settlement remains subject to assessment" and any additional accounting impact will be recorded on finalisation.	Q1 FY27 filing, note 3

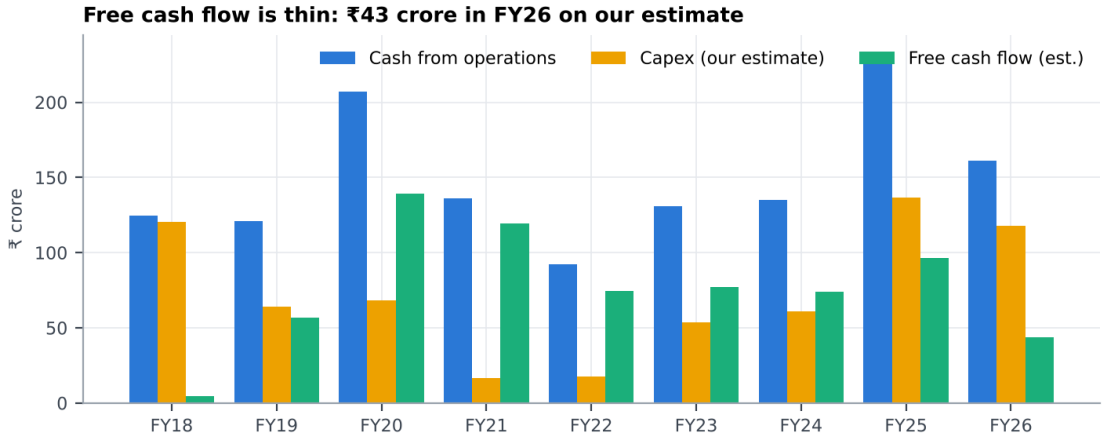
Why it matters: at least ₹48.7 crore of insurance receivable (Unit 8) is uncollected and the remaining Unit 7 balance is not disclosed; a settlement different from the booked value would flow through the P&L. Upside if the ₹82.3 crore claim is accepted in full (about ₹33 crore above the booked ₹48.7 crore, before tax); downside if the insurer assesses lower. This is not in our estimates.

Red-flag register

Flag	Evidence	Severity
Promoter stake reduction	66.6% → 54.5% since Dec-23; 4.45% sold Sep 2025	High
Customer concentration	TVS + Honda 59%; top three 72%	High
Receivables build-up	Debtors +60% vs sales +16%; 50 days	Medium
CFO below profit in FY26	CFO/PAT 0.63x	Medium
Unexplained fall in other expenses (Q1 FY27)	−3.4% YoY vs revenue +17.8%; worth ~220 bp of margin	Medium
Insurance claims unsettled	₹82.3 crore claim, ₹48.7 crore booked (Unit 8); Unit 7 final entries pending	Medium
CEO exit and family succession	CEO left 31 May 2026; Aanchal Jain (a 2024–25 seller) became Joint MD	Medium
Pledge, debt, exceptional items, auditor opinion	Nil pledge; no financial debt; none in Q1; review reports unmodified	Low

Key takeaways: Cash conversion is acceptable over 5 years but weak in FY26. • The two insurance claims and the Q1 fall in other expenses are the items to ask management about.

10 Cash flow and capital allocation



Source: Screener.in export (Drive folder), consolidated, FY ends March; capex = Δnet block + ΔCWIP + depreciation (our estimate, not disclosed in export)

Figure 16: Cash from operations, estimated capex and free cash flow.

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Cash from operations	45.6	124.7	121.0	207.3	135.9	92.2	130.9	134.9	233.1	161.3
Cash from investing	-197.6	-44.3	-80.5	-46.5	-15.4	-73.7	38.8	-68.7	-85.6	-96.0
Cash from financing	173.2	-101.5	-38.1	-118.1	-57.1	-60.6	-55.0	-43.1	-55.2	-84.2
Net cash flow	21.2	-21.2	2.4	42.7	63.4	-42.1	114.7	23.0	92.3	-18.9
Capex (our est.)	–	120.2	64.1	68.2	16.3	17.7	53.7	60.8	136.7	117.8
Free cash flow (est.)	–	4.5	57.0	139.1	119.6	74.6	77.2	74.1	96.3	43.5
Dividends paid	10.5	11.8	15.8	17.1	21.1	26.3	39.5	52.6	79.0	105.3

Source: Screener export; capex and FCF are our estimates (net block + CWIP change + depreciation); FCF = CFO − estimated capex.

Over the last five years Fiem generated about ₹752 crore of operating cash flow and an estimated ₹366 crore of free cash flow, and paid ₹303 crore of dividends, which is 83% of FCF. In FY26 the dividend (₹105 crore, ₹40 a share) was well above estimated FCF (₹44 crore) and was funded from cash. Dividend per share (bonus-adjusted, stockanalysis.com) rose from ₹10 in FY22 to ₹15, ₹20, ₹30 and ₹40 in FY26; the payout ratio reached 41%. A 1:1 bonus doubled the share count in FY24 (Screener: shares 1.32 crore to 2.63 crore). FCF yield on the current market cap is about 0.9% (stockanalysis.com shows 0.64% on trailing numbers).

Capital allocation priorities per the Q1 FY27 call: FY27 capex about ₹100 crore (₹41.15 crore spent in Q1), mostly at Hosur; cash about ₹280 crore and no debt; management is evaluating organic and inorganic options (four-wheeler capex, electronics), prefers internal accruals, and would consider debt for a major opportunity. We read the combination of rising capex, a high payout and weaker FCF as a sign that the dividend is being paid partly from the cash pile; it is sustainable at current cash levels but leaves less room for acquisitions.

Key takeaways: FCF is thin; dividends took 83% of five-year FCF. • A debt-free balance sheet and ₹250–280 crore of cash give flexibility.

11 Forecasts

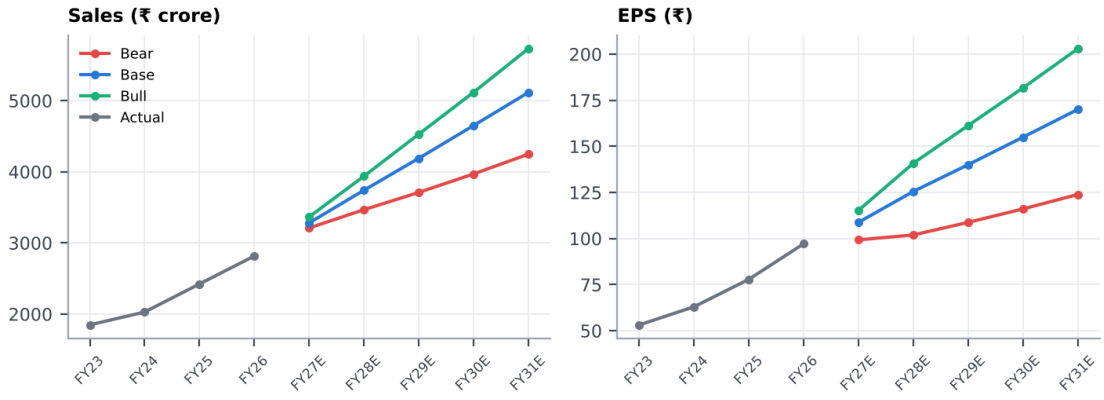
All forecasts are our estimates, built from management guidance (15–20% revenue growth, about 14% EBITDA margin for FY27) and the Q1 FY27 run-rate. They are not company guidance.

Assumption	Base	Bull	Bear	Rationale / source
Sales growth FY27E	16.5%	19.5%	14.0%	Guidance 15–20%; Q1 consolidated +17.7%; base at the lower half because Yamaha is flat and 4W slipped
Growth FY28E–FY31E (base)	14 / 12 / 11 / 10%	17 / 15 / 13 / 12%	8 / 7 / 7 / 7%	Fades toward nominal GDP; EV and LED content support above-market growth; bear = volume slowdown
EBITDA margin FY27E / FY28E+	13.8% / 14.0%	14.2% / 14.8%	13.0% / 12.5%	Q1 13.4% (revenue basis), guide ~14%; wage run-rate persists 3 quarters; bear = pass-through fails
Depreciation	2.6% of sales	same	same	FY26 2.57%, FY17–FY26 trend 2.6–3.9%
Capex	₹100 crore FY27E, then 3.3% of sales	same	same	Guidance ₹100 crore; FY25–26 estimated 3.5–4.8% of sales
Operating NWC	12% of incremental sales	same	same	FY24–26 range 7.8–13.6% of sales; FY26 at the top
Tax rate	25.3%	same	same	FY26 25.1%, 10-yr range 13–36% (low years distorted)
Other income / interest	₹20 crore / ₹4 crore	same	same	FY26 ₹20.8 crore / ₹2.8 crore

Base case (₹ crore)	FY27E	FY28E	FY29E	FY30E	FY31E
Sales	3,280	3,739	4,188	4,649	5,114
growth %	16.5	14.0	12.0	11.0	10.0
EBITDA	453	524	586	651	716
EBITDA margin %	13.8	14.0	14.0	14.0	14.0
Net profit	286	330	369	408	447
EPS (₹)	108.8	125.5	140.0	155.0	170.0
FCFF	204	237	273	308	344

Source: our model (model.py). FY26 actual: sales ₹2,816 crore, EBITDA ₹396 crore (14.1%), PAT ₹256 crore, EPS ₹97.2. Screener's own "trailing" EPS is ₹100.2.

FY28E	Bear	Base	Bull
Sales (₹ crore)	3,467	3,739	3,937
EBITDA margin	12.5%	14.0%	14.8%
EPS (₹)	101.9	125.5	140.9
EPS CAGR FY26–FY28E	2.4%	13.7%	20.4%



Source: Screener.in actuals; estimates are our own assumptions (see assumptions table)

Figure 17: Actual and forecast sales and EPS under the three cases.

Check against the Q1 run-rate: Q1 FY27 PAT was ₹64.9 crore, or ₹259 crore annualised; the base case FY27E PAT of ₹286 crore needs the remaining three quarters to average about ₹74 crore, which is above the Q1 level but in line with the Q3 FY26–Q4 FY26 average of ₹67 crore plus pass-through of costs. If margin stays at the Q1 level of about 13.4% the base case EPS would be about 3% lower.

Key takeaways: Base case EPS ₹109 (FY27E) and ₹126 (FY28E); bear ₹99 / ₹102; bull ₹115 / ₹141. • The forecast hinges on margin recovering to about 14%.

12 Valuation

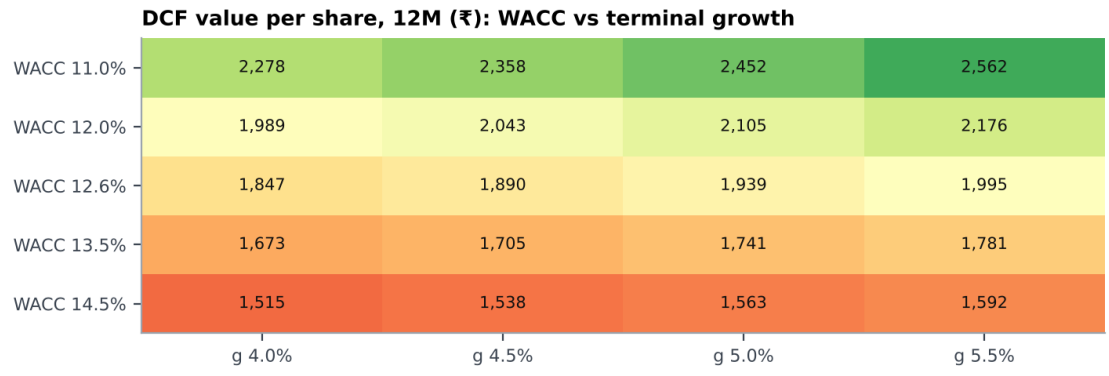
Discount rate

Input	Value	Source / date
India 10-year G-sec yield	7.40%	TradingEconomics, 13–19 Oct 2026 updates (7.36–7.4%)
Less sovereign default spread	1.87%	Damodaran country-risk table (Baa3), Jan 2026
Risk-free rate (INR, default-spread-adjusted)	5.53%	our calculation
Equity risk premium (India)	7.08%	Damodaran, Jan 2026 (mature 4.23% + country 2.85%)
Beta used	1.00	our judgement: the 5Y regression beta of 0.49 (stockanalysis.com, 4 Sep 2026) is unusually low for a cyclical, concentrated supplier; Trendlyne betas were not provided
Cost of equity / WACC	12.61%	debt is only lease liabilities (₹66 crore), so WACC ≈ cost of equity
Terminal growth	5.0%	our assumption, below the risk-free rate

DCF (base case)

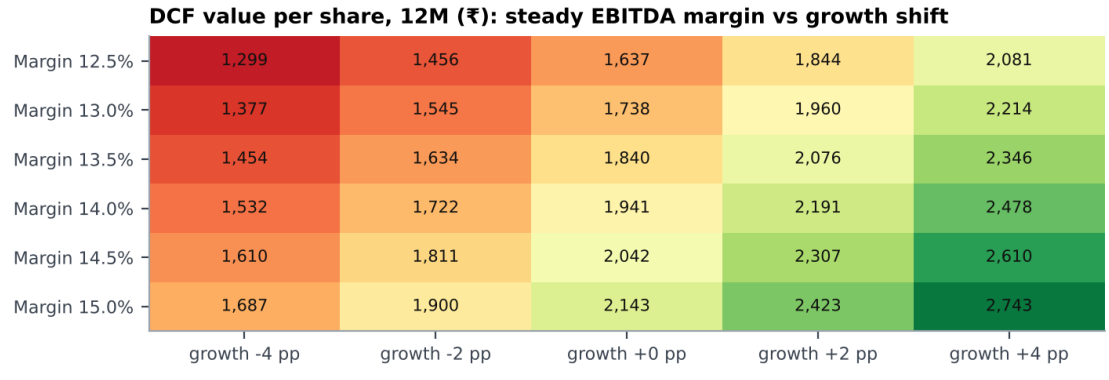
Item	₹ crore
PV of FCFF FY27E–FY41E (mid-year)	2,679
PV of terminal value	1,732
Enterprise value	4,411
Add: cash ₹280 crore less borrowings ₹66 crore	214
Equity value	4,625
Per share today (₹, 2.632 crore shares)	1,757
Rolled forward 12 months at cost of equity, less ₹40 dividend (₹)	1,939
Terminal value as % of EV	39%

FCFF is discounted at WACC and the resulting equity value rolled forward at the cost of equity (our standard method across reports). The 15-year explicit period fades growth from FY31E to the terminal rate.



Source: our model; green = above CMP ₹1,824

Figure 18: DCF sensitivity to WACC and terminal growth.



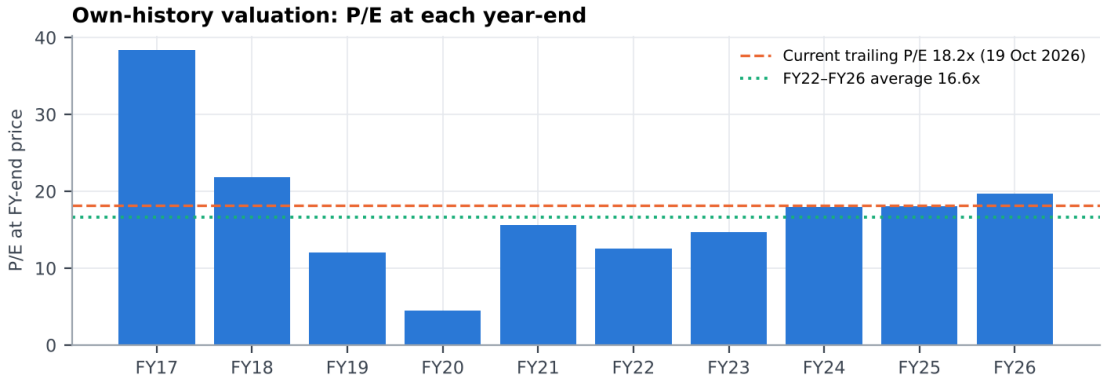
Source: our model; growth shift applied to each of FY27–FY31 base growth rates

Figure 19: DCF sensitivity to steady-state margin and growth.

What is the market pricing in? (reverse DCF)

Holding our base growth path, the current price of ₹1,824 is justified by a steady-state EBITDA margin of 14.4% (we assume 14.0%); or by growth +0.6 pp a year versus our base; or by a discount rate of 12.3% (we use 12.6%). In plain words: at ₹1,824 the market already assumes margins recover to the 14% management guides. The DCF therefore offers no margin of safety (our ₹1,757 is -4% versus the price); upside has to come from re-rating or beating the 14% margin.

P/E leg and own history



Source: Screener.in export (price at FY end ÷ EPS); FY17 and FY20 are distorted by depressed earnings / the Mar-20 crash

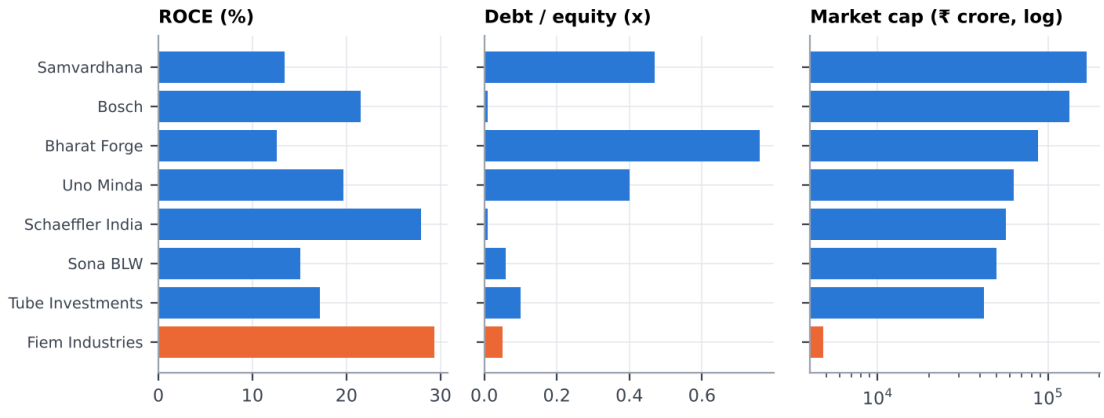
Figure 20: Year-end P/E, FY17–FY26.

We apply 18x to FY28E EPS of ₹125.5, giving ₹2,260. Why 18x (our judgement): it equals the current trailing multiple (18.2x) and sits just above the FY22–FY26 year-end average of 16.6x and the 10-year Screener average of 17.6x, justified by 29% ROCE and zero debt; we do not assume a move toward the 30–65x multiples of larger lighting peers because those reflect different growth and earnings bases. Applying the multiple to FY28E EPS (two years out) is the same convention used in our earlier reports.

Peer comparison

Company (Screener peer list)	CMP ₹	Mkt cap ₹ cr	Debt/Eq	Debt ₹ cr	ROCE %
Samvardhana Motherson	158.15	168,551	0.47	19,169.7	13.43
Bosch	45,195.00	133,622	0.01	118.8	21.54
Bharat Forge	1,798.60	87,088	0.76	7,308.6	12.61
Uno Minda	1,087.40	62,669	0.40	2,740.1	19.65
Schaeffler India	3,623.40	56,590	0.01	33.7	27.90
Sona BLW Precision	794.00	49,634	0.06	363.4	15.11
Tube Investments	2,170.00	41,954	0.10	754.0	17.14
Fiem Industries	1,823.60	4,786	0.05	65.5	29.34
Median of 132 companies in sector (Screener)	450.05	1,522	0.40	120.84	16.44

Source: Screener.in peer-comparison screenshot in the Drive folder, 19 Oct 2026. The screenshot shows only these six columns; P/E, sales/profit growth and other ratios were not in it. Most peers are large diversified component makers, so the match to Fiem is weak; Uno Minda is the closest lighting competitor.



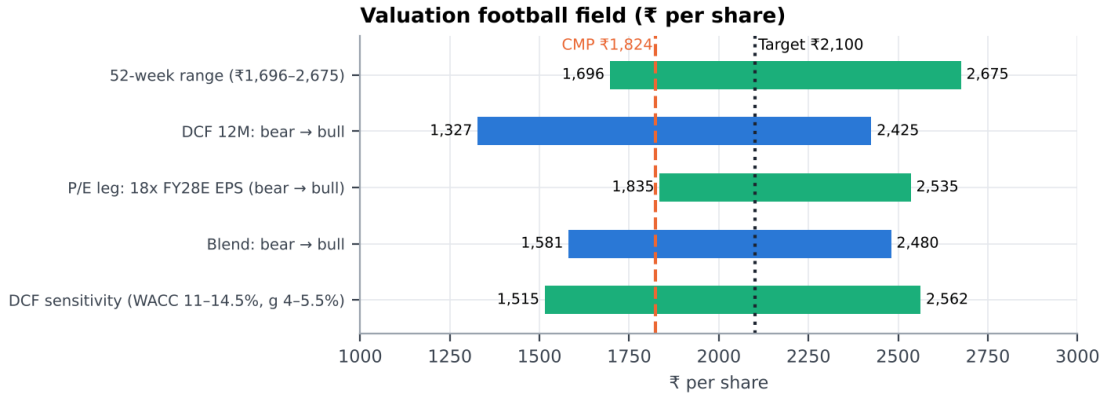
Source: Screener.in peer-comparison screenshot (Drive folder, as of 19-Oct-2026)

Figure 21: Peer ROCE, leverage and size (Screener).

Lighting peers (stockanalysis.com)	As of	P/E	Fwd P/E	EV/EBITDA	P/B	EBITDA mgn	ROIC	D/E	Beta 5Y
Fiem (stockanalysis)	4 Sep 26	20.9x	18.0x	13.0x	4.5x	13.7%	25.0%	0.05	0.49
Fiem (Screener, 19 Oct)	19 Oct 26	18.2x	–	10.6x	3.9x	14.1%*	29.3%*	0.05	–
Uno Minda	14 Oct 26	53.6x	42.6x	26.7x	8.9x	10.7%	12.9%	0.38	0.31
Lumax Industries	6 Aug 26	31.4x	23.8x	13.4x	5.9x	9.6%	11.5%	1.06	0.84
Varroc Engineering	8 Sep 26	65.8x	30.5x	16.1x	7.1x	8.6%	13.7%	0.51	0.32

Source: stockanalysis.com statistics pages (dates differ by company because pages were cached at different times; peer multiples are therefore indicative, not same-day). *Fiem EBITDA margin FY26 and ROCE from Screener. Peer ROE was n/a on most pages.

Reading: Fiem earns higher margins and returns than the three lighting peers, has no debt, and trades at a large discount (P/E 18x vs 31–66x). Part of the discount is deserved (customer concentration, promoter selling, two-wheeler cyclicality, small size) and part reflects peers' depressed earnings bases; peers also have growth in four-wheelers and electronics that Fiem does not yet have.



Source: our model (model.py); CMP = 19 Oct 2026 close per Screener.in

Figure 22: Football field.

Margin of safety: DCF base ₹1,757 today vs CMP ₹1,824: none. Blended 12-month value ₹2,099 is 15% above CMP; the bear blend ₹1,581 is -13% below. Risk/reward is positive but modest, which is why we rate Accumulate (staggered entry) rather than Buy.

Key takeaways: Cash-flow value ≈ market price: the market already prices ~14.4% margin. • Target ₹2,100 depends on holding 18x P/E; the bear case is −13%.

13 Risk analysis



Source: stockanalysis.com NSE/BSE history pages (cached snapshots), MarketsMojo (Oct closes), Screener (19 Oct). BSE volume not shown (far smaller than NSE)

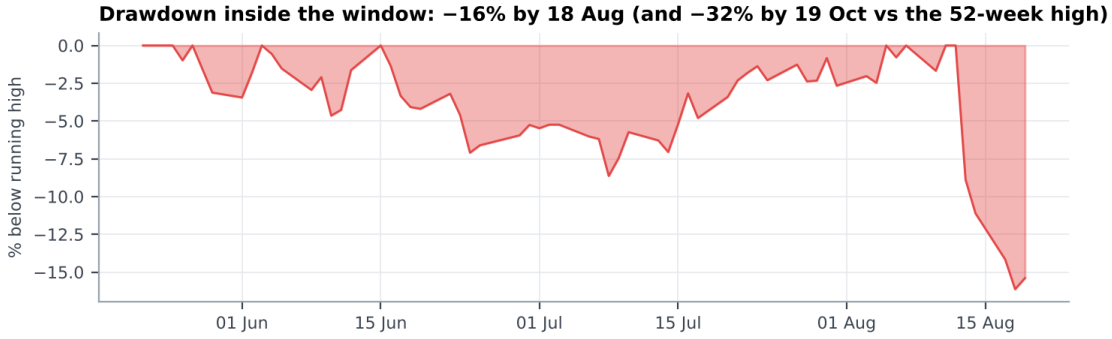
Figure 23: Price, 20-/50-day averages and NSE volume.

Price window used (our choice: last six months, daily): 62 trading sessions from 2026-05-22 to 2026-08-19 (NSE for 22 May–3 Aug, BSE for 4–19 Aug), plus sparse October closes from news pages. We could not retrieve daily prices

for 20 Aug–5 Oct (the cached price pages stop in August), so all window statistics below refer to 22 May–19 Aug only.

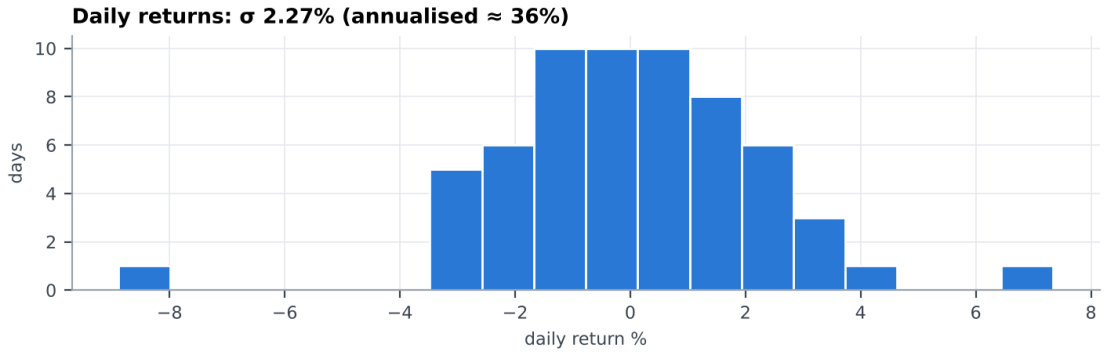
Measure (22 May–19 Aug 2026)	Value
Annualised volatility (daily σ × √250)	36% (daily σ 2.27%)
Highest close	₹2,647 (2026-08-12, day of Q1 results)
Lowest close in window	₹2,181
Max drawdown inside window	-16.1% (to 2026-08-18)
Worst / best day	−8.9% (13 Aug, BSE) / +7.3% (5 Aug, BSE)
20-day / 50-day average close at 19 Aug	₹2,395 / ₹2,321
Latest known close (19 Oct)	₹1,824: -31% below the 12 Aug close; -32% below the 52-week high (₹2,675)
Average / median NSE volume (22 May–3 Aug)	49,351 / 38,026 shares a day
Highest NSE volume days	3 Jun (1.88 lakh), 15 Jun (1.45 lakh), 31 Jul (1.33 lakh), 16 Jul (1.18 lakh), 5 Jun (0.96 lakh)

Source: stockanalysis.com NSE/BSE history pages, MarketsMojo, Screener; our calculation. BSE volume is far smaller than NSE and is excluded from volume statistics. The BSE closes used for 4–19 Aug differ from NSE closes by a fraction of a percent.



Source: price pages above; our calculation. 52-week high ₹2,674.80 per Screener/INDmoney

Figure 24: Drawdown inside the window.



Source: price pages above (62 sessions, 22 May–19 Aug 2026); our calculation

Figure 25: Distribution of daily returns.

What happened after the result: shares fell about 9–11% on 13 Aug although consolidated PAT rose 12.9% (Business Upturn, 13 Aug; BSE data: −8.9% close-to-close). MarketsMojo attributes the later slide to technicals (below all key moving averages), flat June-quarter profit, a low half-year debtor-turnover ratio of 7.21x and a 0.94% fall in institutional holding; it set a 52-week low of ₹1,715.25 on 13 Oct and the stock then rebounded 10% in the week to 16 Oct (₹1,925) before falling about 5% on 19 Oct to ₹1,824. We do not have a company-specific cause for the October moves; the sources attribute them to sector and market weakness.

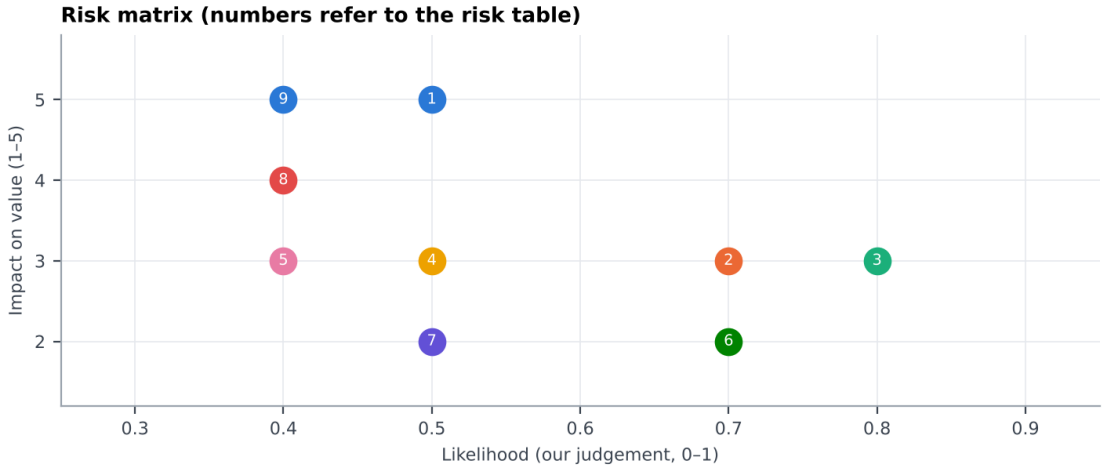
Liquidity and free float

At the window-average NSE volume of about 49,351 shares and a price near ₹2,290, daily NSE turnover was roughly ₹11 crore (our estimate), small relative to the ₹4,786 crore market cap. Free float is about 11.97 million shares (45%; stockanalysis.com). A position of ₹2 lakh is easily liquid; large institutional positions would not be. Beta: 0.49 (5-year, stockanalysis.com, 4 Sep 2026); 1-year and 3-year betas are Not available / unverified (no Trendlyne report in the folder).

#	Risk	Evidence	Impact (1–5)	Likelihood
1	Customer concentration (TVS+Honda 59%)	TVS 33.7% + Honda 25.2% + Yamaha 13.7% = 72.6%	5	0.5

#	Risk	Evidence	Impact (1–5)	Likelihood
2	Raw-material pass-through lag	Material ~61% of sales; recovered with ~2-quarter lag	3	0.7
3	Wage inflation (Haryana)	Haryana minimum wage +~35%; Q1 employee cost +30% YoY	3	0.8
4	Debtor days / receivables	Debtors +60% in FY26; 50 days	3	0.5
5	Promoter selling	4.45% sold Sep 2025; 66.6% → 54.5%	3	0.4
6	4W ramp delay	Revenue target slipped ~2 quarters; 2.5% of revenue	2	0.7
7	Insurance claim settlement	₹82.3 crore claim vs ₹48.7 crore booked (Unit 8)	2	0.5
8	EV / tech transition	EV share >9% of 2W volumes; LED share flat at 63% for 7 quarters	4	0.4
9	Two-wheeler demand cycle	Record Q1 volumes (7.25 million) but cyclical	5	0.4

Impact and likelihood are our judgement. Other risks named by management: global trade and tariff tensions, supply-chain disruption, rising input costs, a weaker rupee. Debt maturity risk is negligible (no financial debt).



Source: our judgement; placement is qualitative and not statistically derived

Figure 26: Risk matrix.

Key takeaways: Volatility ~36% annualised; the stock is 32% off its high after an 8.9% one-day fall. • Concentration, wage/material inflation and promoter selling top the risk list.

14 Scorecard (16 metrics)

Each metric carries an equal weight of 6.25 points (total 100). Pass = full points, fail = zero. Thresholds are our assumptions, except that promoter holding above 40% and nil pledge are the preferences we stated at the outset.

#	Metric	Value	Threshold	Result	Points
1	Promoter holding ≥ 40%	54.5%	≥ 40%	PASS	6.25
2	Promoter pledge = nil	0.0%	nil	PASS	6.25
3	Promoter stake not cut > 5 pp in 3 yrs	66.56% → 54.51% (−12.1 pp)	fall ≤ 5 pp	FAIL	0.00
4	Sales CAGR (5y) ≥ 12%	18.2%	≥ 12%	PASS	6.25
5	PAT CAGR (3y) ≥ 12%	22.3%	≥ 12%	PASS	6.25
6	EBITDA margin (FY26) ≥ 12%	14.1%	≥ 12%	PASS	6.25
7	ROCE (FY26) ≥ 15%	29.3%	≥ 15%	PASS	6.25
8	ROE (FY26) ≥ 15%	22.6%	≥ 15%	PASS	6.25
9	Debt / equity ≤ 0.5	0.05	≤ 0.5	PASS	6.25
10	Interest cover ≥ 5x	123x	≥ 5x	PASS	6.25
11	CFO / PAT (5y cumulative) ≥ 0.8	0.87	≥ 0.8	PASS	6.25
12	Debtor days (FY26) ≤ 45	50 days	≤ 45	FAIL	0.00
13	FCF yield (FY26, est.) ≥ 2%	0.9%	≥ 2%	FAIL	0.00
14	P/E (trailing) ≤ 25x	18.2x	≤ 25x	PASS	6.25
15	6-month price return ≥ 0%	-19.8%	≥ 0%	FAIL	0.00
16	Latest-quarter sales growth ≥ 10% YoY	18.6%	≥ 10%	PASS	6.25

#	Metric	Value	Threshold	Result	Points
	Total			**12/16 pass**	**75.00**

Source: Screener export and screenshots, Q1 FY27 filing; our calculation. FCF yield uses our estimated FCF (₹43.5 crore) over market cap ₹4,786 crore. The 6-month return (−19.8%) is from the Screener metrics screenshot.

Score 75/100: strong on returns, balance sheet and growth; failures are the promoter stake reduction, debtor days, free-cash-flow yield and share-price momentum. Four of the 16 thresholds (debtor days, FCF yield, momentum, promoter stake) are the ones that most clearly mirror the risks in section 13.

15 Portfolio fit

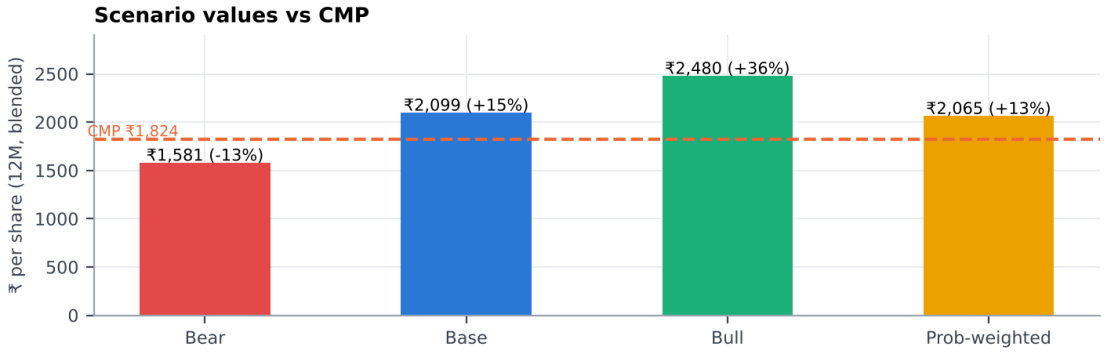
A purchase of 1,000 Fiem shares has been instructed for 20 Oct 2026 at the 09:30 AM IST price and is funded by a ₹19 lakh deposit already in the ledger. The buy price is not yet known at the report date, so there is no cost basis, P&L or weight in this report; the dashboard will show them once the buy is recorded. At ₹1,824 the position would be about ₹18.2 lakh, or roughly 18% of the ₹1 crore portfolio — well above the 2–3% sizing shown below, so we flag it as a concentration decision by the user, not a recommendation.

Item	Indicative figure	Basis
Virtual portfolio capital	₹1 crore	portfolio setting
Illustrative 2% position	₹2.0 lakh = about 109 shares at ₹1,824	our illustration, not a recommendation
Illustrative 3% position	₹3.0 lakh = about 164 shares	same
Sector overlap	Portfolio holds auto OEMs (Maruti Suzuki, Ashok Leyland); Fiem supplies two-wheeler OEMs	config.json of the tracker
Correlation / alpha vs Nifty	Not available / unverified	no Nifty series retrieved
Liquidity	~₹11 crore a day on NSE (est.)	section 13

Fit (our view): Fiem adds a small-cap, debt-free, two-wheeler-exposed name to a portfolio that already owns car and commercial-vehicle makers; the auto cycle is the shared risk, but the end-markets differ (two-wheelers vs cars vs trucks). Given 36% volatility and low liquidity, a position at the lower end (about 2%) with staggered entry is consistent with an Accumulate view.

16 Catalysts, scenarios and monitoring

Scenario	Probability (our judgement)	Key assumptions	Blended 12M value	vs CMP
Bull	25%	FY27E growth 19.5%, margin 14.8% from FY28	₹2,480	+36%
Base	50%	Growth 16.5% then 14/12/11/10%; margin 14%	₹2,099	+15%
Bear	25%	FY27E growth 14% then 8%, margin 12.5%	₹1,581	-13%
Probability-weighted			**₹2,065**	**+13%**



Source: our model; probabilities 25/50/25 are our judgement

Figure 27: Scenario values vs CMP.

Catalysts (dates not confirmed unless stated)

- Q2 FY27 results: expected around mid-November 2026 (the Q2 FY26 call was on 13 Nov 2025; the Q2 FY27 date is not confirmed in our sources).
- Margin recovery as raw-material cost increases are passed through (management: over the next few quarters).
- Hero Vida supply from Hosur starting next quarter; further EV platform wins.
- Insurance settlement for Unit 8 (claim ₹82.3 crore) and Unit 7 final entries.
- Four-wheeler orders (Mahindra, Force Motors) and any Mercedes-Benz RFQ (not expected for 1.5–2 years).

- December 2026 shareholding pattern (promoter and institutional changes).

Monitoring plan

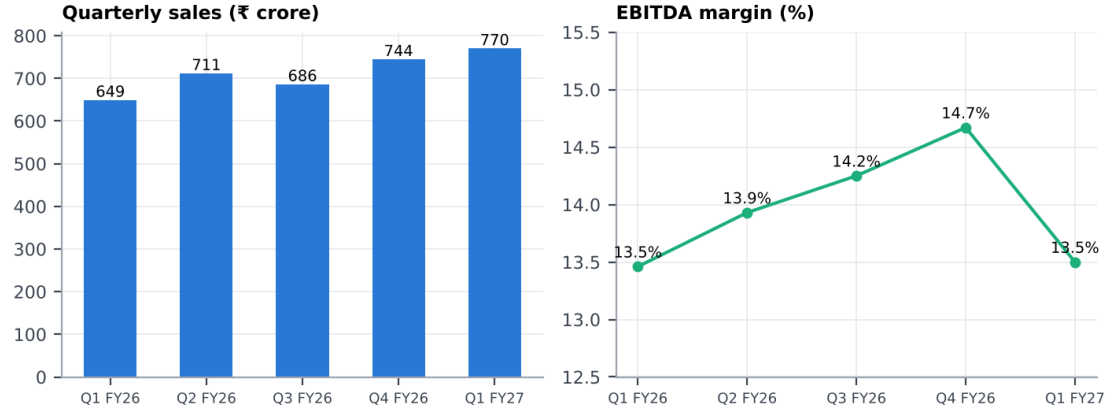
Indicator	Today	Alert level	Why
EBITDA margin (quarterly, revenue basis)	13.4%	< 13% for two quarters	Pass-through and wages
Debtor days (annual) / receivables	50	> 55	Cash conversion
Promoter holding	54.51%	any further fall	Governance
TVS + Honda share of auto sales	59%	> 62% or a platform loss	Concentration
Quarterly sales growth YoY	+17.7%	< 10%	Guidance 15–20%
Free cash flow	₹44 crore (est.)	negative	Dividend cover

17 What management told us: five earnings calls, Aug 2025 – Aug 2026

The Drive folder holds transcripts of the Q1 FY26, Q2 FY26, Q3 FY26, Q4 FY26 and Q1 FY27 earnings calls. This section tracks what was said, quarter by quarter, and compares it with what happened. Figures are standalone as stated by management (₹ crore); our consolidated tables elsewhere differ slightly.

Quarter	Call date	Sales	YoY	EBITDA margin	PAT	PAT YoY	Capex
Q1 FY26	14 Aug 25	649.07	+13.2%	13.46%	56.05	+13.9%	16.53
Q2 FY26	13 Nov 25	711.42	+17.1%	13.93%	63.78	+28.0%	21.28
Q3 FY26	12 Feb 26	685.81	+16.2%	14.25%	63.45	+33.8%	41.02
Q4 FY26	1 Jun 26	744.35	+17.4%	14.67%	70.59	+22.4%	29.48
Q1 FY27	13 Aug 26	769.90	+18.6%	13.50%	65.19	+16.3%	41.15

Source: earnings-call transcripts (CFO and MD remarks), Drive folder; YoY is our calculation from the comparatives quoted on each call. Q4 FY26 capex is our derivation (FY26 capex ₹108.31 crore less the first three quarters).



Source: Fiem earnings-call transcripts Q1 FY26–Q1 FY27 (Drive folder), standalone as stated by management

Figure 28: Quarterly sales and EBITDA margin. Margin peaked at 14.7% in Q4 FY26 and fell to 13.5% in Q1 FY27 on wages and raw materials.

How guidance has evolved

Topic	Aug 2025 (Q1 FY26)	Feb 2026 (Q3 FY26)	Aug 2026 (Q1 FY27)
Growth guidance	15–20% organic, four-wheeler (4W) extra	15–20% organic	15–20% for FY27
EBITDA margin	Cost changes passed through	14%+ for next 24 months; 17–18% (peers) "not realistic"	About 14% in FY27 and later
Capex	FY26 ₹75–100 crore; ₹200 crore over 2–3 years excl. 4W	₹200 crore over next 24 months incl. 4W	FY27 about ₹100 crore (FY26 about ₹110 crore), mostly Hosur
Four-wheelers	Run-rate ₹18–20 crore a quarter; RFQ pipeline about ₹700 crore	M&M and Force Motors in development; Mercedes plant approved as potential supplier	4W about 2.5% of revenue; ramp pushed back about two quarters; earlier FY27 guide of ₹100–150 crore now "slightly lower"
LED share of auto lighting	About 64%; expected 75–80% in a couple of years	Rising	61–64% band for 7 quarters; management now sees about 70% in 24–30 months
Capacity utilisation	Not stated	77–78%	About 75% (Q4 FY26 call)

Source: earnings-call transcripts, Drive folder. Our reading: the growth and margin guidance has been steady, but the 4W revenue timeline has slipped and the LED-penetration forecast has been cut from 75–80% to about 70% over a longer period. That is a pattern worth tracking: the core 2W business is delivering; the optionality is arriving later than first said.

Street cross-check: our estimates vs consensus and management

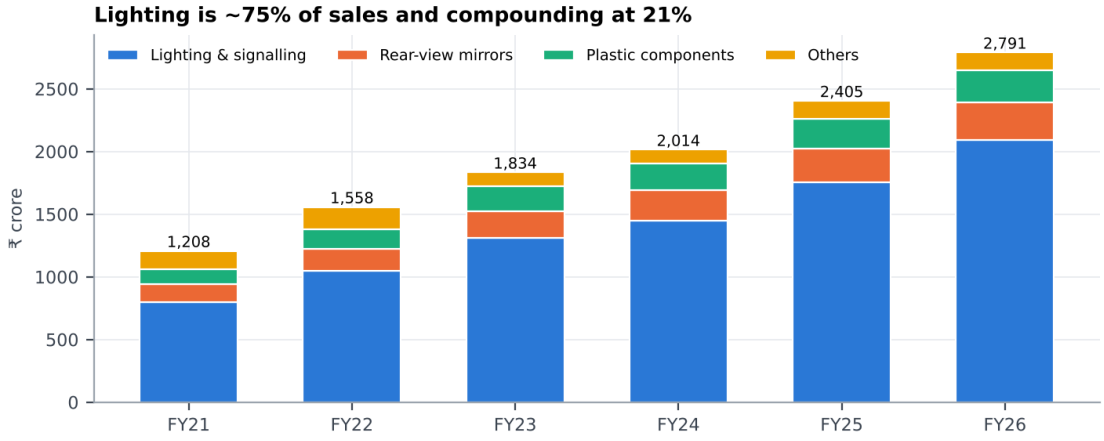
Item	Our estimate	Trendlyne consensus (3 analysts)	Management guidance
FY27E revenue (₹ crore)	3,280	3,288.9	+15–20% on FY26 (₹2,790.65 crore)
FY27E EBITDA (₹ crore)	452.7	455.5	Margin about 14%
FY27E net profit (₹ crore)	286.4	290.6	Not given
FY28E revenue (₹ crore)	3,739	3,827.8	Not given
12-month target price (₹)	2,100	Average 2,835 (range 2,700–3,050)	Not given

Source: Trendlyne stock report dated 19 Oct 2026 (consensus values read from chart text, so treat as approximate); our estimates from the model in section 12. Our FY27E numbers are almost identical to consensus; our target is about 26% below the Street average because we blend a DCF at a 12.6% discount rate with a P/E of 18x, while the Street appears to apply higher multiples. Three analysts is a thin sample.

Key takeaways: Guidance is steady at 15–20% growth and about 14% margin; Q1 FY27 delivered 18.6% growth but only 13.5% margin. • 4W timeline slipped; LED-share forecast was lowered. • Our FY27E sits on top of consensus; the gap is in valuation, not in the forecast.

18 Business deep-dive: segments, customers, plants and technology

The annual reports (FY24, FY25, FY26) and the Q4 FY26 and Q1 FY27 investor presentations give a much fuller picture of the business than the Screener export. All figures below are standalone unless stated.

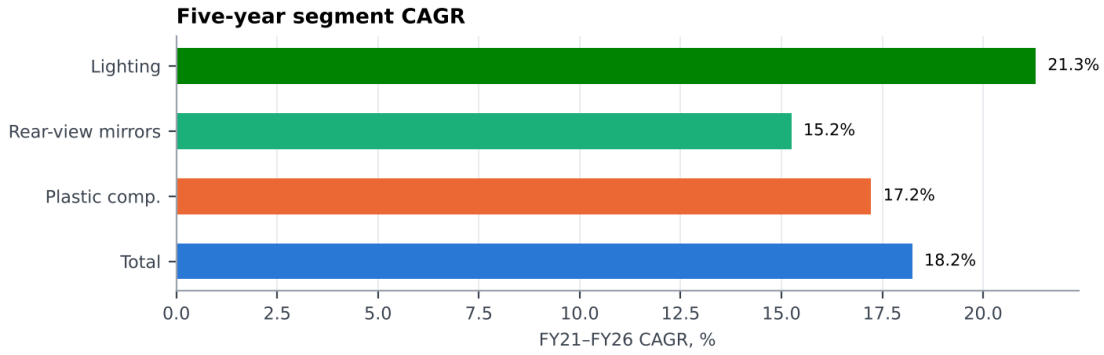


Source: Fiem investor presentations (Drive folder), standalone, ₹ million converted to ₹ crore

Figure 29: Segment sales, FY21–FY26. Lighting and signalling is the growth engine.

₹ crore	FY21	FY22	FY23	FY24	FY25	FY26
Lighting & signalling	797.9	1,048.1	1,312.7	1,449.4	1,756.0	2,095.2
Rear-view mirrors	146.4	175.6	210.5	240.5	266.6	297.6
Plastic components	114.8	155.6	202.8	216.6	236.2	254.1
Others (balance)	148.4	178.4	108.0	107.9	146.2	143.7
Total standalone sales	**1,207.5**	**1,557.7**	**1,834.0**	**2,014.4**	**2,405.0**	**2,790.6**

Source: Q4 FY26 and Q1 FY27 investor presentations (₹ million, converted). "Others" is the balance of total sales after the three named segments (our calculation).



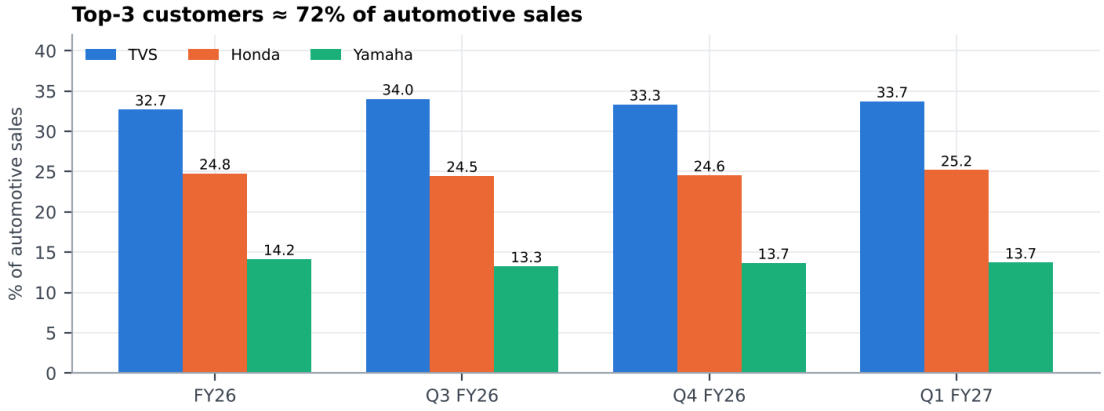
Source: Fiem investor presentations (Drive folder), standalone, ₹ million converted to ₹ crore; CAGR is our calculation

Figure 30: Five-year CAGR by segment (FY21–FY26).

Mix (% of standalone sales)	FY26	Q1 FY27
LED lighting	47.51	48.23
Conventional lighting	27.70	28.79
Rear-view mirrors	10.68	10.67
Plastic moulded parts	9.12	8.81
Others	4.99	3.50
Channel: OEM domestic / replacement / exports	93.17 / 4.98 / 1.85	94.01 / 4.56 / 1.43
Two-wheeler / four-wheeler	97.15 / 2.85	97.70 / 2.30

Source: Q4 FY26 and Q1 FY27 investor presentations. LED is 63% of auto-lighting sales in FY26 (annual report: 59% in FY25; management said about 60% on calls — we flag the difference rather than reconcile it).

Customers



Source: Fiem investor presentations (Drive folder); only unambiguous customer labels shown

Figure 31: Share of automotive sales to the three customers whose labels are unambiguous in the presentations.

Customer	FY26	Q3 FY26	Q4 FY26	Q1 FY27
TVS Motor	32.71%	34.04%	33.34%	33.72%
Honda 2W group	24.78%	24.47%	24.55%	25.19%
Yamaha	14.15%	13.26%	13.67%	13.72%
Top three together	**71.64%**	**71.77%**	**71.56%**	**72.63%**

Source: investor presentations (the pie-chart labels for the other customers are ambiguous in the text we could read, so we show only the three that are clear). Totals are our sums. Management said on the calls that Hero, Royal Enfield (about 6% of sales) and Suzuki are other significant customers; Hero will be named when it crosses 10% of revenue. Bajaj is the only major 2W maker Fiem does not serve.

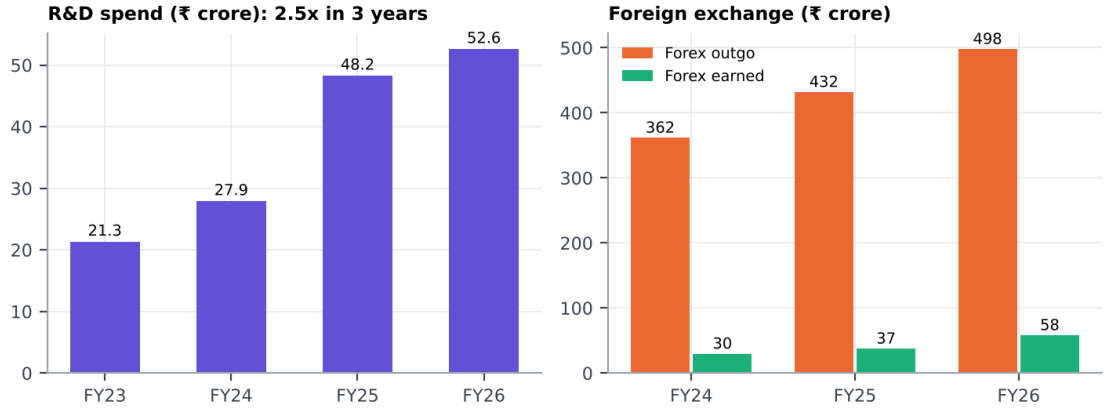
OEM	What Fiem supplies / recent wins	Source
TVS	Jupiter front/rear lighting volumes about 2x; Norton (TVS-owned) lamps with animation and CAN-based control; iQube EV above 1 million cumulative	Q1 FY26, Q2 FY26, Q1 FY27 calls
Honda (HMSI)	Activa EV rear combination, front position and licence lamps and mirrors; HMSI production +18% vs Fiem +14% in Q3 FY26 because some products are not supplied (e.g. H'ness headlamp)	AR FY25; Q3 FY26 call
Hero	About 10 products; Glamour X125 projector headlamp; X440 lamps (including units exported to the US); Vida EV supply from Hosur starting next quarter	Q2 FY26, Q1 FY27 calls
Royal Enfield	Classic lamps share above 90%; Flying Flea EV project	Q2 FY26, Q1 FY27 calls
Yamaha	Tracer 7 headlamp and position light (Europe export), XSR155, first Yamaha EV; 8–9 models in development; Q1 FY27 volumes flat	Q2 FY26, Q1 FY27 calls
Mahindra (4W)	Licence-plate lamp in production; rear reflector, fog lamp; HMSL for Bolero/Scorpio in development; two RFQs at final stage	Q1 FY26, Q3 FY26 calls
Mercedes-Benz / European OEM	Initial order executed; plant approved as potential global supplier for small lamps; fresh RFQs not expected for 1.5–2 years	AR FY25; Q3 FY26, Q1 FY27 calls
Ather, River, Norton	New Ather model (Fiem sole supplier), River RX02, Norton Manx (UK export)	Q1 FY27 call

Plants and capacity

Unit	Location	Notes
I	Kundli, Haryana	Original base; Haryana minimum-wage hike affects cost
II, III, V	Hosur, Tamil Nadu	Hosur complex; main current capex; about 65% open-access solar, wind planned
IV	Mysore (Kadakola), Karnataka	Started 2005
VI	Nalagarh, Himachal Pradesh	
VII	Rai, Haryana	Fire 13 Jun 2023; R&D centre recognised by DSIR
VIII	Tapukara, Rajasthan	Fire 23 Aug 2025; some 4W production moved to Rai
IX	Ahmedabad (Karsanpura), Gujarat	

Source: annual report FY26 and investor presentations. Capacity utilisation was about 75% on the Q4 FY26 call (80% in Q2 FY26, 77–78% in Q3 FY26); management did not give unit capacity in numbers. Design centres: Rai, Hosur and Pune (India), Turin (Italy) and Saitama (Japan); Gurugram holds the electronics innovation centre and EMI/EMC lab (opened April 2025).

Technology and R&D



Source: Fiem Annual Reports FY24–FY26 (Board report, Drive folder)

Figure 32: R&D spend and foreign-exchange flows (annual reports).

R&D (₹ crore)	FY23	FY24	FY25	FY26
Total spend	21.31	27.89	48.25	52.58

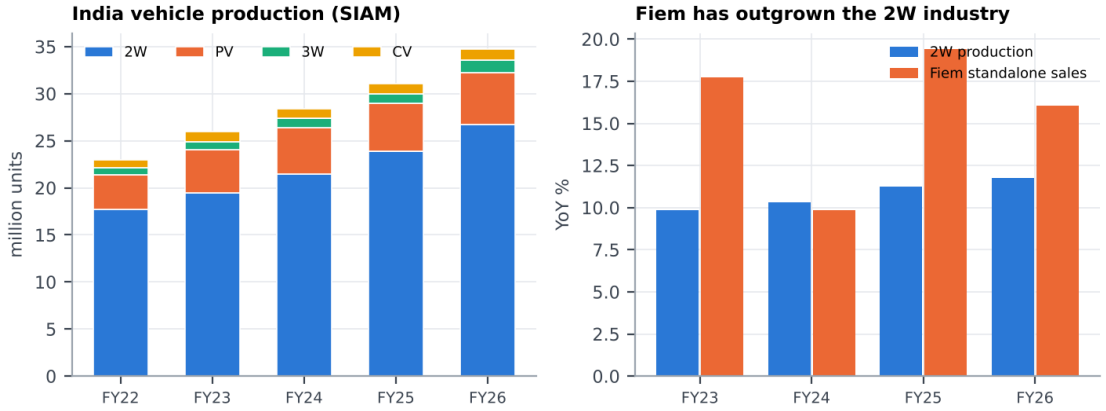
Source: annual reports FY24–FY26 (FY26: capex ₹12.16 crore plus revenue ₹40.42 crore; about 1.9% of sales). R&D has grown 2.5x in three years. Products named in the annual report: Light Control Module (with 2–3 customers), hands-off detection, matrix LED / adaptive headlamp, intelligent lighting with animation ECU, ambient lighting using optical fibre. Awards: Suzuki Best Cost Down 2026, Honda best-supplier cost competitiveness 2024-25, Yamaha Kaizen 2025.

Subsidiary / JV (₹ lakh)	Revenue FY26	PAT FY26	Revenue FY25	PAT FY25
Fiem Industries Japan	520.61	94.98	285.18	31.97
Fiem Research & Technology srl (Italy)	1,364.41	77.09	1,094.09	50.72
Fiem Kyowa (HK) Mould (50% JV)	33.96	(1.41)	9.84	(4.50)

Source: annual report FY26. Subsidiaries are immaterial to group economics (combined revenue under ₹20 crore) but are the design and customer-liaison bridge to Japan and Italy.

Key takeaways: Lighting grew 21% a year for five years and is now about 75% of sales; mirrors and plastics grow 15–17%. • Top three customers are about 72% of automotive sales; TVS alone is a third. • R&D spend is up 2.5x in three years and electronics is made in-house, which supports the LED/EV content story.

19 Industry data from the annual reports (SIAM)



Source: SIAM data as quoted in Fiem Annual Report FY26 (MD&A); Fiem standalone sales from investor presentations; growth is our calculation

Figure 33: India vehicle production by category and the growth of Fiem against two-wheeler production.

'000 units	FY22	FY23	FY24	FY25	FY26
Two-wheelers	17,715	19,459	21,469	23,884	26,692
Passenger vehicles	3,651	4,579	4,902	5,061	5,539
Commercial vehicles	805	1,036	1,066	1,033	1,170
Three-wheelers	758	856	993	1,050	1,300
Total	22,929	25,930	28,430	31,028	34,701
2W production growth	–	9.8%	10.3%	11.2%	11.8%
Fiem standalone sales growth	–	17.7%	9.8%	19.4%	16.0%

Source: SIAM figures as quoted in the Fiem annual report FY26 MD&A; Fiem sales from investor presentations; growth rates are our calculation. Fiem grew faster than 2W production in three of the last four years (FY24 was the exception) because of LED content gains, new models and share with growing customers.

Industry datapoint	Value	Source
2W production FY26	26.7 million, a record above the FY19 peak (about 24.5 million)	AR FY26; Q3 FY26 call
Domestic 2W sales FY26 / exports	21.70 million (+10.7%) / about 5.1 million	AR FY26
Q1 FY27 2W production	7.25 million, +22.8% YoY (record)	Q1 FY27 call
EV share of 2W	More than 9% in Q1 FY27 vs about 6% a year earlier	Q1 FY27 call
TVS capacity	6.8 million to 8.3 million by year-end	Q1 FY27 call
Hero Vida production	15,000 to 45,000 a month	Q1 FY27 call
LED penetration of 2W industry	Estimated 30–40% (management, no published data)	Q2 FY26 call
LED vs halogen lamp price	3–4x	Q4 FY26 call
Electronics content	Raises LED lamp value by 30–80%	Q3 FY26 call
Car lighting content	Fully loaded about ₹60,000 vs ₹20–25k basic; 4W content per vehicle about 4x or more a 2W	Q2 FY26 call

Macro and policy points in the annual report

- India GDP growth FY26 7.4% (Economic Survey); FY27 projected 6.8–7.2% (Survey) and 6.6% (World Bank). Repo rate 5.25% by Feb 2026; CPI 3.40% in March 2026.
- PLI auto scheme extended to FY28 with about US$8.1 billion committed; India–UK FTA, EFTA TEPA and an EU FTA concluded (as described by the company).
- Risks the company lists: geopolitics, semiconductor and rare-earth supply, energy prices (Middle East conflict). Management said on the Q2 FY26 call that the Nexperia chip issue did not hold up production because parts are multi-sourced, and on Q1 FY26 that US tariffs had no impact (direct US business is marginal, FOB terms).

Key takeaways: Two-wheeler production is at a record and growing about 10–12% a year (FY23–FY26); Fiem's sales compounded at about 16% a year over FY22–FY26. • EV share of 2W above 9% helps because Fiem's LED and electronics content is larger per vehicle.

20 Governance, fires, forex and capital return: findings from the annual reports

Board and leadership

Group	Members (annual report FY26)
Executive (7)	J.K. Jain (CMD, Executive Chairman from 1 Jun 2026); Rajesh Sharma (JMD); Rahul Jain; Seema Jain (WTD); Aanchal Jain; Kashi Ram Yadav (WTD); Vineet Sahni (CEO up to 31 May 2026)
Independent (7)	Pawan Kumar Jain (Audit chair); Shobha Khatri (NRC chair); Pradeep Bhagat; Rakesh Chand Jain; Satinder Manocha; Sanjiv Rai Mehra; Rita Arora
Auditors	Statutory: Anil S. Gupta & Associates (appointed Aug 2022 for five years; no qualification); Secretarial: Ranjana Gupta & Associates; Cost: Jay Narain & Co
Other	No material related-party transactions and no fraud reported (annual report FY26); four board meetings in FY26

Source: annual report FY26. Four of the seven executive directors belong to the promoter family (Jain). The CEO left on 31 May 2026; the Q4 FY26 call states that MD Rahul Jain took over and Aanchal Jain was appointed Joint MD alongside Rajesh Sharma. Our view: a family-led board with half independent directors is normal for an Indian mid-cap, but succession and decision-making are now more concentrated in the promoter family than a year ago.

Promoter stake: what the filings show

Date	Event	Source
Jun 2024	Promoter stake falls 66.56% → 58.96% (7.6 pp, about 20 lakh shares on 2.632 crore). Bulk deals: Rahul Jain and Aanchal Jain 5 lakh shares each at about ₹1,170–1,225	Trendlyne; shareholding screenshot; share count is our calculation
Sep 2025	Aanchal Jain and promoter-group members sell 11.7 lakh shares (4.45%); promoters 58.96% → 54.52%	Trendlyne; earlier ScanX / FilingReader summaries
Sep 2026	Promoters 54.52%, unchanged; pledge nil	Trendlyne; Screener
Jun 2026	Aanchal Jain, a seller in 2024 and 2025, becomes Joint MD	AR FY26; Q4 FY26 call

This replaces our earlier note that the mechanism was unknown. We still read the selling as a governance negative, although the stake has been stable for four quarters and a pledge-free 54.5% is comfortable.

Fires, insurance and the receivable

	Rai (Unit VII)	Tapukara (Unit VIII)
Date	13 Jun 2023	23 Aug 2025 (first floor; no injury)
Operations	Resumed within 3 days; fully reinstated in FY25	Resumed 29 Aug 2025 on ground floor and basement; 4W production for M&M moved to Rai in Sep 2025
Insurance	Two interim payments ₹30 crore + ₹20 crore = ₹50 crore (FY25); final assessment in late stages	Claim of ₹82.30 crore filed 30 Jan 2026 on reinstatement basis; ad-hoc payment requested
Balance-sheet effect	No EBITDA impact stated	₹21 crore stock + ₹28 crore fixed assets booked as insurance recoverable (Q2 FY26 call); Q1 FY27 filing shows ₹21.06 crore + ₹27.68 crore receivable

Source: annual reports FY24–FY26, Q2 and Q3 FY26 calls, Q1 FY27 filing. The ₹49 crore receivable is about 3% of equity; the claim (₹82.3 crore) is larger than the booked amount, so a settlement above book would be a small upside, below book a small loss. Third-party safety audits were commissioned after the second fire (Q3 FY26 call).

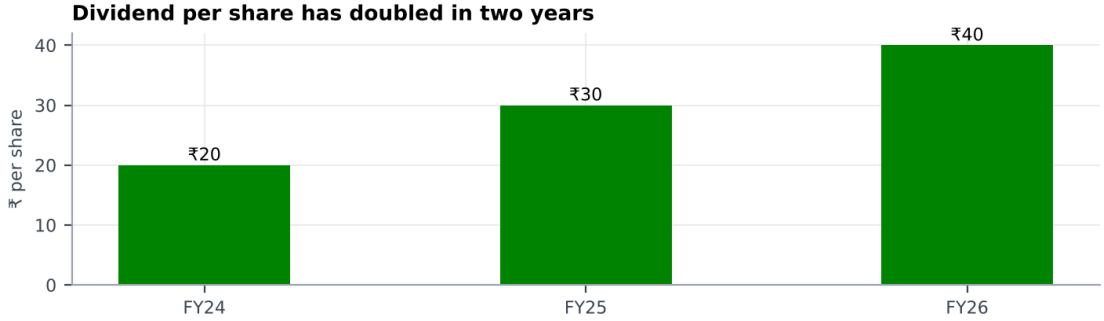
Foreign exchange, receivables and dividends

₹ crore	FY24	FY25	FY26
Forex earned	29.69	37.43	58.15
Forex outgo	361.51	431.82	497.83
Net outgo	331.82	394.39	439.68
Outgo / FY26 net sales	–	–	17.8%

Source: annual reports FY24–FY26. Imports of components (mainly LED and electronic parts) are about 17–18% of sales, a risk when the rupee weakens; management said on calls that most cost changes are passed through to OEMs with a one-to-two-quarter lag, so the exposure is mostly timing. This is a risk we did not have before reading the annual reports.

- Receivables: debtor days jumped from 37 to 50 in FY26 (section 7). Management explained on the Q4 FY26 call that bill discounting for TVS and one other large customer was discontinued while payment terms stayed unchanged. This is management's explanation; standalone trade receivables rose to ₹388.2 crore from ₹242.4 crore (investor presentation), so cash conversion is worth watching.
- Dividend: ₹20 (FY24), ₹30 (FY25) and ₹40 (FY26) per share. The FY26 final dividend of ₹40 is ₹105.28 crore, subject to approval at the AGM. FY25 payout was 39% of profit, the highest in the company's history at that time (annual report).

- Bonus: 1:1 in 2024 took shares to 2,63,19,660; management said on the Q2 FY26 call that no further bonus or split is planned.
- Employees: 2,425 (FY24), 2,583 (FY25), 2,682 (FY26) permanent staff, plus about 8,100 contract workers on average in FY26; more than 40% of the workforce is women.
- Capital allocation: cash about ₹280 crore and no debt (Q1 FY27 call); management lists organic growth, electronics and possible acquisitions as uses, with no acquisition far advanced.

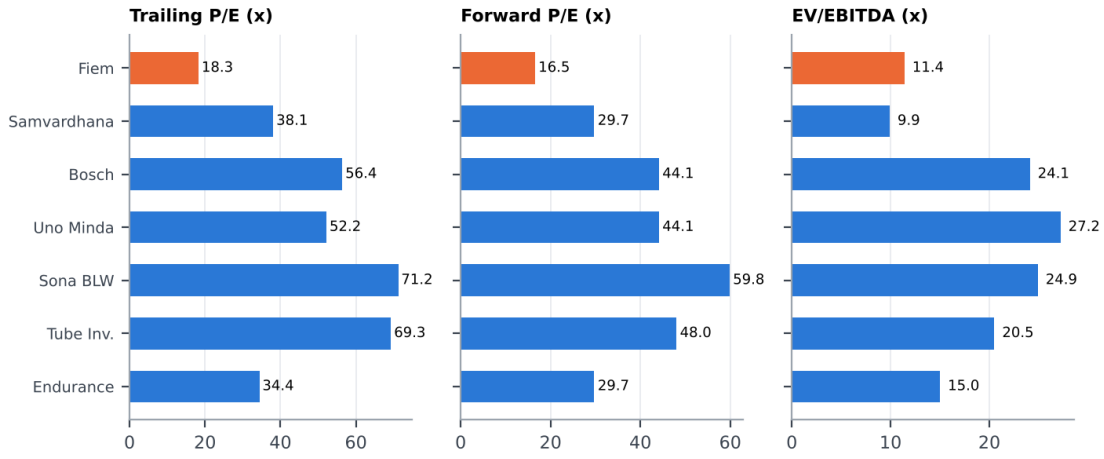


Source: Fiem Annual Reports (Drive folder); per-share amounts as declared for the year

Figure 34: Dividend per share, FY24–FY26.

Key takeaways: Fires are insured; booked receivable about ₹49 crore against a ₹82 crore claim. • Imports of about ₹498 crore a year (17–18% of sales) are a currency exposure we had missed. • Promoter family holds four of seven executive seats, and the CEO has left: governance risk stays on the monitor list.

21 Valuation cross-check against Trendlyne and the peer set



Source: Trendlyne Fiem report, 19 Oct 2026 (Drive folder); peer set as shown by Trendlyne

Figure 35: Peer multiples as shown by Trendlyne on 19 Oct 2026. Fiem (orange) is the cheapest of the seven on P/E and the second cheapest on EV/EBITDA.

Company	P/E (TTM)	Fwd P/E	P/B	EV/EBITDA	P/S	Valuation score
Fiem	18.3	16.5	3.7	11.4	1.6	44.2
Samvardhana Motherson	38.1	29.7	4.0	9.9	1.3	45.2
Bosch	56.4	44.1	8.6	24.1	6.3	25.8
Uno Minda	52.2	44.1	8.8	27.2	3.0	32.7
Sona BLW	71.2	59.8	8.0	24.9	10.0	25.7
Tube Investments	69.3	48.0	5.2	20.5	1.8	33.3
Endurance Tech	34.4	29.7	4.7	15.0	2.1	39.5

Source: Trendlyne Fiem report dated 19 Oct 2026. The mapping of values to companies follows the order in the report and was cross-checked against the valuation scores; we treat the order as approximate. Peers are much larger (Fiem market cap about ₹4,800 crore vs ₹42,000–168,000 crore).

Trendlyne metric	Fiem	Comment
Durability / Valuation / Momentum score	70 / 44 / 38	Durability is the highest among the peer set; momentum is neutral to weak
Checklist	73.9% (17 pass, 6 fail)	
PE TTM / forward PE / PEG	18.3x / 16.5x / 0.8	Below industry median; PEG under 1
EV/EBITDA / P/B / P/S	11.4x / 3.7x / 1.6x	
Technicals	RSI 44; 20-day average ₹1,840; 50-day ₹2,035; 200-day ₹2,179	Price is below all long averages: downtrend
Beta	1M 1.13; 3M 1.04; 1Y 1.32; 3Y 1.15	Higher than the 0.49 five-year figure we cite on the cover; we use 1.0 in the DCF
Street target	Average ₹2,835 (+55%) from 3 analysts	Strong Buy consensus; our ₹2,100 is lower

Source: Trendlyne. Screener peer table (Auto Components): Fiem ROCE 29.3% against 12.6–27.9% for the large peers, with debt/equity of 0.05. The discount to peers reflects size, customer concentration and 2W-only exposure; our view is that part of the discount is deserved and part (given the ROCE and cash) is not, which is why we are at Accumulate rather than Buy.

Key takeaways: Fiem trades at 18x earnings against 34–71x for peers while earning the highest ROCE in the set. • The Street is far more bullish (₹2,835) than we are (₹2,100); our DCF alone sits near the market price.

22 Appendix

A. Financial statements (consolidated, ₹ crore)

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Sales	1,014.6	1,239.7	1,449.0	1,379.4	1,221.2	1,572.3	1,848.1	2,028.8	2,422.6	2,815.6
Raw material	607.3	762.6	905.5	816.2	742.1	984.6	1,127.5	1,249.3	1,508.3	1,714.3
Change in inventory	20.4	22.9	4.9	-23.9	-12.5	-1.5	-3.9	6.6	5.8	4.8
Power & fuel	41.6	47.3	53.1	49.7	39.2	45.3	53.6	61.6	65.2	70.3
Other mfg expenses	71.6	78.2	77.8	72.9	61.3	76.7	73.9	75.7	85.6	104.2
Employee cost	145.9	177.1	196.5	198.5	165.9	207.6	241.1	290.8	335.0	394.1
Selling & admin	49.2	54.6	61.6	59.3	51.7	59.8	89.5	86.3	110.8	132.0
Other expenses	1.9	2.0	2.5	1.9	14.8	2.8	9.9	3.0	1.3	9.5
EBITDA (operating profit)	117.6	140.8	157.0	156.9	133.8	194.0	248.6	268.7	322.2	395.9
Other income	-9.5	7.9	1.0	0.8	0.0	2.6	10.8	16.0	19.9	20.8
Depreciation	39.2	44.3	48.9	53.2	57.2	59.0	63.4	58.6	64.3	72.5
Interest	23.2	22.7	22.1	17.7	11.6	8.6	7.4	2.9	1.5	2.8
PBT	45.6	81.6	87.0	86.9	65.0	129.0	188.6	223.1	276.3	341.4
Tax	12.6	29.0	30.4	8.2	18.0	33.7	48.7	57.2	71.3	85.8
Net profit	33.0	52.6	55.6	74.6	46.7	94.2	139.8	165.7	204.9	255.6
EPS (₹)	12.57	19.98	21.16	28.35	17.75	35.80	53.17	63.01	77.92	97.18

Profit & loss. Source: Screener.in export. Operating profit = sales − (raw material − change in inventory... as presented by Screener); lines reconcile to Screener totals. EPS is bonus-adjusted.

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Equity capital	13.2	13.2	13.2	13.2	13.2	13.2	13.2	26.3	26.3	26.3
Reserves	397.0	436.2	464.0	512.2	556.2	629.1	748.0	860.6	1,011.9	1,188.7
Borrowings	225.2	158.7	171.4	126.5	77.3	45.7	23.8	23.1	22.1	65.5
Other liabilities	234.2	327.4	314.2	268.6	275.6	360.6	268.0	308.4	363.5	420.0
Total liabilities	869.5	935.4	962.8	920.5	922.2	1,048.5	1,053.0	1,218.5	1,423.8	1,700.5
Net block	479.2	553.8	564.3	590.6	547.3	507.9	493.6	495.8	553.4	604.0
CWIP	5.6	6.9	11.5	0.2	2.7	0.7	5.3	5.3	20.3	14.9
Investments	86.4	19.4	25.4	21.2	21.0	76.8	0.2	0.1	0.1	0.1
Other assets	298.3	355.2	361.6	308.4	351.2	463.1	553.8	717.2	850.1	1,081.6
of which receivables	119.5	144.3	146.8	77.0	80.9	174.6	140.8	193.7	242.3	387.5
of which inventory	102.4	140.3	147.2	129.1	117.0	184.7	175.7	204.4	233.5	266.8
of which cash & bank	23.1	2.2	4.5	47.5	110.5	68.4	183.1	206.1	298.4	279.6

Balance sheet. Source: Screener.in export, March year-ends.

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Cash from operations	45.6	124.7	121.0	207.3	135.9	92.2	130.9	134.9	233.1	161.3
Cash from investing	-197.6	-44.3	-80.5	-46.5	-15.4	-73.7	38.8	-68.7	-85.6	-96.0
Cash from financing	173.2	-101.5	-38.1	-118.1	-57.1	-60.6	-55.0	-43.1	-55.2	-84.2
Net cash flow	21.2	-21.2	2.4	42.7	63.4	-42.1	114.7	23.0	92.3	-18.9
Dividend amount	10.5	11.8	15.8	17.1	21.1	26.3	39.5	52.6	79.0	105.3
Price at FY end (₹)	482	437	255	127	278	450	783	1,133	1,408	1,911

Cash flow and market price. Source: Screener.in export.

A2. Q1 FY27 standalone results as filed (₹ crore; filing is in ₹ lakh)

₹ crore	Q1 FY27	Q4 FY26	Q1 FY26	FY26	YoY %	QoQ %
Net sales	769.90	744.35	649.07	2,790.65	18.6	3.4
Other operating income	5.48	6.63	9.26	23.45	-40.8	-17.2
Revenue from operations	775.38	750.98	658.32	2,814.11	17.8	3.2
Other income	4.81	4.44	5.86	20.79	-18.0	8.3
Cost of materials consumed	496.02	452.00	404.21	1,708.94	22.7	9.7
Purchases of stock-in-trade	1.68	1.43	1.19	5.25	41.6	18.1
Change in inventories	-19.49	2.98	-3.75	-4.77	419.0	-754.3
Employee benefits expense	114.90	100.17	88.35	385.46	30.1	14.7
Finance costs	1.11	1.67	0.37	2.79	200.2	-33.6
Depreciation	19.18	17.72	17.10	72.06	12.1	8.2
Other expenses	78.20	85.23	80.97	325.88	-3.4	-8.2
Total expenses	691.61	661.20	588.44	2,495.61	17.5	4.6
Profit before tax	88.58	94.22	75.75	339.28	16.9	-6.0
Tax expense	23.39	23.63	19.69	85.40	18.8	-1.0
Net profit	65.19	70.59	56.05	253.88	16.3	-7.7
EPS (₹, not annualised)	24.77	26.82	21.30	96.46	16.3	-7.6

Source: Q1 FY27 standalone unaudited results (board meeting 12 Aug 2026); YoY and QoQ are our calculation. Inventory-change YoY/QoQ are not meaningful (sign changes). Q1 FY26 and Q4 FY26 shown as reported in the same filing.

Segment capital employed (₹ crore)	30 Jun 26	31 Mar 26	30 Jun 25	YoY
Automotive	1,000.65	937.61	766.44	30.6%
Others	8.07	7.65	7.60	6.2%
Unallocable (assets less liabilities)	265.84	264.23	317.01	-16.1%
Total capital employed	**1,274.56**	**1,209.49**	**1,091.06**	**16.8%**

Source: filing, segment note (assets less liabilities). Automotive capital employed grew 30.6% YoY against automotive revenue growth of 17.9%: capital is being added faster than sales (capex at Hosur and Tapukara, higher receivables). Annualised automotive segment result (before interest and unallocated items) on year-end segment capital employed was about 39% in Q1 FY27 against about 43% a year earlier: still high, but lower. This is a simple calculation by us on period-end capital, not a company ratio.

B. Data gaps – "Not available / unverified"

Item	Why unavailable	What would close it
Audited financial statements and notes (KAMs, CARO, contingent liabilities, accounting policies, payables days)	The annual-report text we could read stops after the MD&A	Full annual-report PDF text
Installed capacity in units, per-unit economics, customer contract terms	Management gives utilisation (75–80%) but not unit capacity or contract terms	Company disclosure
Payables days and cash-conversion cycle	Export lumps payables into other liabilities	Annual report notes
Size of the 2W lighting market and Fiem share	No citable source; SIAM vehicle production is used instead	Industry report
Daily prices 20 Aug–5 Oct 2026; 1-, 3-, 5-year price history	Price pages retrieved were cached snapshots ending in August; six-month window chosen by the user	A fresh price CSV (NSE) or browser export
Alpha, correlation, VaR, price vs Nifty	No Nifty series retrieved (Trendlyne betas of 1.0–1.3 are quoted in section 21)	Nifty daily closes
Credit rating, BRSR	Not supplied	Rating report; BRSR
Sale price of the Sep 2025 promoter sale; full itemisation of the 2024 sales	Only partly stated in Trendlyne	Exchange disclosures (Reg 29 / bulk-block data)
Director remuneration units	Trendlyne prints pay figures without units	Annual report corporate governance report
Peer growth and margins	Trendlyne gives valuation multiples only; Screener screenshot gives market cap, D/E and ROCE	Full peer financials

C. Methodology

- DCF: 15-year FCFF (EBITDA − tax on EBIT − capex − change in operating working capital), mid-year discounting at WACC, Gordon terminal value, plus net cash, divided by 2.632 crore shares. 12-month value = value × (1 + cost of equity) − ₹40 expected dividend.

- P/E leg: 18x FY28E EPS (base). Blend = 50:50 of DCF 12-month value and P/E leg. Target = base blend rounded to the nearest ₹5.
- Scenario probabilities (25/50/25) are our judgement. Scorecard thresholds are our assumptions. Rating scale: Accumulate +10% to +20% upside; Hold −10% to +10%; Avoid below −10%.
- Ratios: ROE on average equity; ROCE = (PBT + interest)/average (equity + borrowings); debtor days = year-end receivables/sales × 365; accruals = (PAT − CFO)/total assets; capex estimate = Δnet block + ΔCWIP + depreciation.
- Price statistics use 62 daily sessions (NSE 22 May–3 Aug, BSE 4–19 Aug) with sample standard deviation × √250.

D. Source list (data as of dates shown; all read in this session)

Source	Used for
Drive folder "FIEM INDUSTRIES LTD RESEARCH RESOURCES"	Annual reports FY24, FY25, FY26 (directors' report, MD&A); earnings-call transcripts Q1 FY26, Q2 FY26, Q3 FY26, Q4 FY26, Q1 FY27; investor presentations Q4 FY26 and Q1 FY27; Q1 FY27 results filing (12 Aug 2026); Fiem Industries.xlsx (Screener export, price 19 Oct 2026); Trendlyne stock report (19 Oct 2026); key-metrics, shareholding and peer screenshots
stockanalysis.com	NSE:FIEMIND statistics (4 Sep 2026), company, financials, balance sheet, overview (14 Aug 2026), NSE history (snapshot to 3 Aug), BSE 532768 history (snapshot to 19 Aug); statistics for UNOMINDA (14 Oct), LUMAXIND (6 Aug), VARROC (8 Sep)
ScanX; FilingReader	Promoter stake sale, Sept 2025
Business Upturn	Share-price move on 13 Aug 2026
MarketsMojo	Articles of 1, 5, 8, 12–16 Oct and week ending 9 Oct 2026 (prices, technicals)
INDmoney	Price/returns/shareholding, 19 Oct 2026
TradingEconomics	India 10-year yield, 28 Sep and 13–19 Oct 2026
Damodaran (NYU Stern)	Country risk premium table, Jan 2026

Web sources (stockanalysis.com, MarketsMojo, ScanX, INDmoney) are used for prices, technicals and the Sep 2025 stake sale; company facts come from the annual reports, calls and presentations. Where two sources differ slightly (for example Q1 sales ₹769.9 crore standalone vs ₹775.4 crore consolidated Screener) we state which basis is used.

E. Quality check (run before delivery)

Check	Target	Result
Pages	30–40	35 pages, built from all Drive documents (3 annual reports, 5 call transcripts, 2 presentations, Trendlyne, filing, Excel, screenshots). The audited statements inside the annual reports were not readable in our extract; that is listed in Appendix B.
Charts	15–25	35 (above target; all with sources)
Tables	10+	56
Every number traces to a source and date	yes	Yes; estimates labelled "our estimate/judgement". Sources are screenshots/filing in Drive or web pages listed above.
Totals and ratios recompute	yes	Ratios computed in code from stated inputs; P&L lines reconcile to Screener totals; Q1 filing figures converted from ₹ lakh.
Unverified items as facts	none	Listed in Appendix B only
Bear case and red-flag table	present	Sections 9, 12, 13, 16, 20
Business model explained early	yes	Section 3, directly after the summary
Peer table complete with as-of date	yes	Trendlyne peer multiples (19 Oct 2026) in section 21; Screener peer table in section 12
Units consistent	yes	₹ crore, %, x; per-share in ₹
Placeholder text	none	

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